



U.S. Customs and Border Protection

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Re: Notice of Determination as to Evasion – EAPA Consolidated Case Number 7647

To the Counsel for the Above-Referenced Entities:

Pursuant to an examination of the record in Enforce and Protect Act (“EAPA”) consolidated case number 7647 U.S. Customs and Border Protection (“CBP”) has determined that there is substantial evidence that Starille, Ltd. (“Starille”); Nutrawave Co., Ltd. (“Nutrawave”); and Newtrend USA Co., Ltd. (“Newtrend USA”) (collectively, “the importers”) entered merchandise covered by antidumping duty (“AD”) order A-570-836 and countervailing duty (“CVD”) order C-570-081 into the customs territory of the United States through evasion.¹ Substantial evidence demonstrates that the importers imported glycine from the People’s Republic of China (“China”) into the United States after transshipping the merchandise through Indonesia. The importers did not declare that the merchandise was subject to the orders upon entry and, as a result, no cash deposits were collected on the merchandise at time of entry.

Background

On April 30, 2021, and September 7, 2021, Geo Specialty Chemicals, Inc. (“the allegor” or “Geo”), a domestic producer of covered merchandise, submitted an allegation to CBP that the importers were evading the AD/CVD orders on glycine from China. *The allegations* asserted that the importers purchased glycine from PT Newtrend Nutrition Ingredient (“PTNNI” or “the manufacturer”), an Indonesian affiliate of the Chinese Newtrend Group (“the Group”), before

¹ See *Antidumping Duty Order: Glycine from the People’s Republic of China*, 60 FR 16115 (Dept. of Commerce, March 29, 1995) (“AD Order”); *Glycine from India and the People’s Republic of China: Countervailing Duty Orders*, 84 FR 29173 (Dept. of Commerce, June 21, 2019) (“CVD Order”). We refer to these collectively as the “Orders.”

PTNNI's factory was capable of glycine production. The allegor supported this contention with a market research report that included photos of [activites] at PTNNI's factory in [month], after the date when the first shipments of glycine from PTNNI began to arrive in the United States. The market research report also contained [research] with [sources] and [sources] claiming that production had not yet begun in [month]. According to the allegation, the market researcher was told by a [source] that PTNNI did not have [product description], but "could provide glycine directly from [source]."² [source] also told the market researcher that the factory would not be operational until at least [month].³ The allegor also provided trade data showing that [company] began importing glycine from PTNNI in [month]⁴ and that all three importers imported glycine from PTNNI before [month]. This shows that all three importers began to import glycine from a factory [description], at a time when [source] told the market researcher that the only glycine PTNNI had to sell was [description].⁵

CBP acknowledged receipt of Geo's properly filed allegations on June 29, 2021, and September 9, 2021.⁶ CBP found the information in the allegation reasonably suggested that the importers entered covered merchandise for consumption into the customs territory of the United States through evasion. Consequently, on July 21, 2021, CBP initiated an EAPA investigation against the importers pursuant to Title IV, section 421 of the Trade Facilitation and Trade Enforcement Act of 2015.⁷

Cargo Exam

To further investigate the importers' entry practices, CBP conducted a cargo exam of entry number [#]3416 imported by [company] on [date]. The exam found that that the packets in this shipment were labeled with "Made in Indonesia" markings stamped on the packages, along with the name and address of PTNNI.⁸ Each package also had a production date more than [#] months before the market researcher [conducted research] and found

² See Geo's Letter, "Evasion Allegation Against Nutrawave Co., Ltd. Under Title IV Section 421 of the Trade Facilitation and Enforcement Act," dated April 30, 2021 ("*Nutrawave Allegation*") at Exhibit 1; Geo's Letter, "Evasion Allegation Against Starille, Ltd. Under Title IV Section 421 of the Trade Facilitation and Enforcement Act," dated April 30, 2021 ("*Starille Allegation*") at Exhibit 1; Geo's Letter, "Evasion Allegation Against Newtrend USA Co., Ltd. d/b/a Newtrend Food Ingredients Under Title IV Section 421 of the Trade Facilitation and Enforcement Act," dated September 7, 2021 ("*Newtrend USA Allegation*") at Exhibit 1. We refer to these collectively as ("*the allegations*").

³ See *the allegations* at Exhibit 1.

⁴ See Nutrawave Allegation at 4-5 and Exhibit 2.

⁵ See Newtrend USA Allegation at 5-6 and Exhibit 2; and Starille Allegation at 5 and Exhibit 2.

⁶ See Email acknowledging receipt of EAPA Allegations, "Receipt of EAPA Allegations 7647 and 7648" (June 29, 2021); Email acknowledging receipt of EAPA Allegation, "Official Receipt of 7678" (September 9, 2021). See also Trade Remedy Law Enforce Directorate ("TRLED"), "Notice of Initiation of Investigation and Interim Measures – EAPA Consolidated Case Number 7647" (October 26, 2021) ("NOI"). As noted in the NOI, investigations 7647, 7648, and 7678 were consolidated into EAPA Cons. Case 7647 with the same period of investigation and deadlines based on the date of initiation in EAPA Case Number 7647.

⁷ See TRLED's Initiation checklist (July 21, 2021); and TRLED's Memo "Initiation of Investigation for EAPA Case Number 7647" (July 21, 2021) ("Initiation Memo").

⁸ See TRLED's Memorandum "Adding Information to the Administrative Record of EAPA case 7647" dated October 19, 2021 ("Oct. 19 Memo") at Attachment 5 "Cargo Exam Results for Entry Number [#]3416".

[activities at location]. The invoice date for this entry was also [date], almost [#] months after the claimed date of manufacture.⁹

Other Research Conducted by CBP

CBP also looked for information on public websites to evaluate the information in the allegation. CBP found information about glycine manufacturing and a recent scope determination by the U.S. Department of Commerce (“Commerce”) in the Notice of Investigation and Interim Measures in EAPA 7270.¹⁰ CBP also found public photos of the progress of construction of PTNNI’s facility posted by the industrial zone where PTNNI is located, Karawang New Industry City (“KNIC”) labeled “Construction Progress through August 2020.” These photos show a building with a roof held up by support beams, but there were no walls constructed and there was construction equipment on the site. There was no methanol distillation tower in the back of the building and there were open holes for installation of other structures or equipment.¹¹ CBP also found photos from the same website labeled “KNIC Tenant Building Construction Progress Per December 2020.” These photos show what appears to be the same building with the walls constructed, but there was still construction equipment on the site.¹² From a different website, CBP found job advertisements for multiple different positions at PTNNI dated from June 2021.¹³ CBP also collected entry data from ACE¹⁴ and trade data from [source].¹⁵ These data showed that the importers imported entries of glycine into the U.S.¹⁶ and that the shipments were exported [geographic information].¹⁷

CF-28 Responses and Analysis

On August 2 and August 3, 2021, CBP issued to Starille and Nutrawave, respectively, CBP Form 28 (“CF-28”) requests for information. These CF-28s referenced entry numbers [#]2955, [#]2923, and [#]3318 from Starille¹⁸ and entry numbers [#]5752, [#]4920, and [#]3012 for Nutrawave.¹⁹ On September 2, 2021, CBP issued a CF-28 to Newtrend USA requesting information about entry numbers [#]1875 and [#]1867.²⁰ In each CF-28 issued, CBP requested entry summaries, shipping documents, proof of payment, and production records for the manufacturer. Both Nutrawave and Starille submitted their responses to the CF-28s on September 15, 2021²¹ while Newtrend USA submitted its response on October 4, 2021.²²

⁹ *Id.* at Attachment 5 “Cargo Exam Results for Entry Number [#]3416”.

¹⁰ *Id.* at Attachment 1 “Notice of Initiation of Investigation and Interim Measures for EAPA 7270”.

¹¹ *Id.* at Attachment 2 “Construction Progress of PTNNI’s Factory as of August 2020”.

¹² *Id.* at Attachment 3 “Construction Progress of PTNNI’s Factory Through December 2020”.

¹³ *Id.* at Attachment 4 “Job Postings for Positions at PTNNI”.

¹⁴ *Id.* at Attachment 7 and Attachment 8.

¹⁵ *Id.* at Attachment 6.

¹⁶ *Id.* at Attachment 7.

¹⁷ *Id.* at Attachment 8.

¹⁸ See CF-28 issued to Starille on August 2, 2021.

¹⁹ See CF-28 issued to Nutrawave on August 3, 2021.

²⁰ See CF-28 issued to NUSA on September 2, 2021.

²¹ See Nutrawave’s letter “Re: Request for Information on Entry Nos [#]” dated September 15, 2021 (“Nutrawave CF-28 Response”) and Starille’s letter “Re: Request for Information on Entry Nos [#]2955, [#]2923, and [#]3318” dated September 15, 2021 (“Starille CF-28 Response”).

²² See Newtrend USA’s letter “Re: Request for Information on Entry Nos. [#]1875 and [#]1867” dated October 4, 2021 (“Newtrend USA CF-28”). Collectively, the importers’ responses are referred to as “the CF-28 responses”.

CBP officials analyzed Nutrawave's CF-28 responses and noted that several of Nutrawave's claims appeared to contradict other record information. Although *the allegations* included business registration documents showing that a former CEO of Nutrawave, Hao Wang, was also the CEO of Newtrend USA, the Group's U.S. affiliate,²³ Nutrawave claimed in its CF-28 response that it is unaffiliated with the Newtrend group.²⁴

Nutrawave submitted production records from PTNNI with its CF-28 response claiming to show that PTNNI produced at least [#] kg of finished glycine from [date range],²⁵ but this was contradicted by photos of construction progress from KNIC's public website that appear to show construction ongoing in December 2020²⁶ and the market research report in the allegation showing construction ongoing in [month].²⁷

There were also some inconsistencies in Starille's responses. The production records from PTNNI that Starille submitted with its CF-28 response claim that PTNNI began producing the glycine covered by the CF-28s, and shipped to the United States in [month].²⁸ However, job ads for PTNNI,²⁹ photos of construction progress of its factory,³⁰ and the market research report in the allegation which showed that PTNNI had not begun production several months later in [month] contradicted this claim.

There were also discrepancies between production records and staff attendance records in Newtrend USA's CF-28 response. According to production records for a batch of glycine produced on [date], an employee named [name] performed one step from [time] until [time] for a total of only [#] minutes, but another employee, [name] took more than [time] to perform the same task the next day. Further, [name] was not working from [time] until [time], according to attendance records.³¹

Notice of Investigation and Interim Measures

On October 26, 2021, CBP issued a notice of investigation and interim measures to the parties to the investigation. Based upon the evidence provided in the allegation and the additional information referenced above, CBP determined there was reasonable suspicion that the importers entered covered merchandise into the customs territory of the United States through evasion, and therefore imposed interim measures.³²

²³ See Nutrawave Allegation at Exhibit 13 and Newtrend USA Allegation at Exhibit 4.

²⁴ See Nutrawave CF-28 Response at Exhibit B.

²⁵ See Nutrawave CF-28 Response at Exhibit K part 1, pages 51-59 of 73.

²⁶ See October 19 Memo at Attachment 3 "KNIC Tenant Building Construction Per December 2020" retrieved from: <https://knic.co.id/knic-tenant-building-construction-progress-per-december-2020>; October 19, 2021 Memo at Attachment 2 "KNIC Tenant Building Construction Per August 2020", retrieved from: <https://knic.co.id/knic-tenants-building-construction-progress-per-august-2020>.

²⁷ See *the allegations* at Exhibit 1.

²⁸ See Starille CF-28 Response at Exhibit K, part 1, page 60.

²⁹ See Oct. 19 Memo at Attachment 4.

³⁰ *Id.* at Attachment 2 and Attachment 3.

³¹ *Id.* at Exhibit K, batch number [#], page 30.

³² See CBP Notice of Investigation and Interim Measures – EAPA Consolidated Case Number 7647 (October 26, 2021) ("NOI"). EAPA regulations require CBP to notify interested parties 5 business days (which in this case, was 7 calendar days) after day 90 if an investigation is continued and interim measures are imposed, see 19 CFR § 165.15 and 19 CFR § 165.24.

Request for Information

To further investigate the veracity of the allegation, CBP issued Requests for Information (“RFI’s”) to the importers and the manufacturer on October 27, 2021. CBP asked for additional information about the corporate structures, accounting/financial practices, and sales of the importers and the manufacturer. CBP also asked for more detailed production records from the manufacturer. PTNNI submitted its RFI response on December 3, 2021³³ and the importers submitted their RFI responses on November 26, 2021.³⁴

PTNNI told CBP that it is owned by the Group, which includes [company] and [company] which both [activity] and are located in China. According to PTNNI’s response, the only subsidiaries of the group that currently produce glycine are [companies],³⁵ although PTNNI acknowledges that another affiliate, Newtrend Food Ingredient (Thailand) Co., Ltd. (“Newtrend Thailand”) produced glycine before the start of the POI.³⁶

CBP observed that PTNNI failed to provide some of the information requested by CBP. Specifically, CBP requested an explanation of the capacity of each piece of equipment in PTNNI’s factory and documentation for the sourcing of all inputs. PTNNI instead provided only an estimate of the capacity of the entire factory, photos of some equipment, and did not provide information about where it sourced [input].³⁷

Starille told CBP that it is not part of a group or affiliated with any other company.³⁸ Starille also purchased [#] of its glycine during the POI from PTNNI. Starille told CBP that it sold all of its glycine to [company].³⁹ Starille also stated that it had an [financial information] of \$[#] in the period from [month] to [month].⁴⁰

CBP requested that Nutrawave provide information on how it found PTNNI as a supplier, if Nutrawave had other suppliers of glycine and if Nutrawave was affiliated with any corporate group. Nutrawave told CBP that it is not part of a group and is not owned or controlled by any other company. However, Nutrawave also stated that [#] percent of the glycine it purchased was supplied directly or indirectly from PTNNI. This includes Nutrawave’s purchase of all the glycine [company] imported from PTNNI, in addition to Nutrawave’s purchases directly from PTNNI. Nutrawave further states that “[t]o date, all of Nutrawave’s customers have been referred by [company].”⁴¹ [name and position] also recommended that Nutrawave sell

³³ See PTNNI’s letter “EAPA Consol. Case No. 7647 – Submission of October 27, 2021, RFI Response” dated December 3, 2021 (“PTNNI RFI Response”).

³⁴ See Newtrend USA’s letter “EAPA Consol. Case No. 7647 – Submission of October 27, 2021, RFI Response” dated November 26, 2021 (“Newtrend USA RFI Response”); Starille’s letter “EAPA Consol. Case No. 7647 – Submission of October 27, 2021, RFI Response” dated November 26, 2021 (“Starille RFI Response”); and Nutrawave Co., Ltd.’s letter “EAPA Consol. Case No. 7647 – Submission of October 27, 2021, RFI Response” dated November 26, 2021 (“Nutrawave RFI Response”).

³⁵ See PTNNI RFI Response at Exhibit 5.

³⁶ *Id.* at Exhibit 40.

³⁷ See PTNNI RFI at Exhibit 18 and Exhibit 13.

³⁸ See Starille RFI Response at 4-5.

³⁹ *Id.* at 10.

⁴⁰ *Id.* at Exhibit 3.

⁴¹ See Nutrawave RFI Response at 10.

its glycine to [company].⁴² Nutrawave also provided CBP with a copy of its 2019 tax return, which was filed with the [description] mailing address that [company] uses to [activity] in New York State.⁴³ These responses appeared to contradict Nutrawave’s claim to be unaffiliated with the Newtrend Group.

In its RFI response, Newtrend USA also submitted CBP’s verification report from EAPA 7270,⁴⁴ the Department of Commerce’s second verification report from the Thailand antidumping duty investigation (A-549-837) dated June 20, 2019,⁴⁵ and Commerce’s Issues and Decision Memorandum (“IDM”) in A-549-837.⁴⁶ Notably, Commerce’s position after evaluating the case briefs was that “{w}e {Commerce} agree with the petitioners {Geo} that the application of AFA {adverse facts available} pursuant to sections 776(a) and (b) of the Act is warranted due to Newtrend Thailand’s failure to provide Commerce with complete, accurate, and reliable COP information, despite having had multiple opportunities to do so.”⁴⁷ Commerce further stated that “{w}hile Newtrend Thailand was given ample opportunity (initial questionnaire, two supplemental questionnaires, several extensions, and two cost verifications) to provide complete and accurate details of its production process, to identify all production inputs and byproducts generated, to report production costs that account for all inputs consumed, and to provide accurate and transparent consumption rates associated with each stage of the glycine production process, it has failed to provide all such information in a complete, accurate, and timely manner.”⁴⁸

Supplemental RFI

To further investigate, CBP issued supplemental RFIs to PTNNI and the importers on December 17, 2021.⁴⁹ The importers submitted their supplemental RFI responses on January 11, 2022⁵⁰ and PTNNI submitted its supplemental RFI response on January 18, 2022.⁵¹ CBP requested additional information about the relationships between the importers and the Group, additional production information, and clarification about material consumption at PTNNI.

⁴² *Id.* at 10.

⁴³ *Id.* at Exhibit 6.

⁴⁴ See Newtrend USA RFI Response at Exhibit 19. This EAPA case investigated an allegation that Newtrend Thailand was transshipping Chinese glycine through Thailand. CBP determined that there was no evasion in this case.

⁴⁵ *Id.* at Exhibit 20.

⁴⁶ *Id.* at Exhibit 21. In A-549-837, Commerce investigated whether Newtrend Thailand was dumping glycine. Commerce determined that Newtrend Thailand was dumping its glycine and imposed a dumping duty margin of 227.17 percent on U.S. imports of glycine from Newtrend Thailand based on adverse facts available. See *Glycine from Thailand: Antidumping Duty Order* 84 FR 55912 (October 18, 2019).

⁴⁷ *Id.* at Exhibit 21, page 13.

⁴⁸ *Id.* at Exhibit 21, page 17.

⁴⁹ See CBP’s Letter to Starille “RE: EAPA 7647 - Supplemental Request for Information” dated December 17, 2021 (“Starille Supp RFI”); CBP’s Letter to Nutrawave “RE: EAPA 7647 - Supplemental Request for Information” dated December 17, 2021 (“Nutrawave Supp RFI”); CBP’s Letter to Newtrend USA “RE: EAPA 7647 - Supplemental Request for Information” dated December 17, 2021 (“Newtrend USA Supp RFI”); and CBP’s Letter to PTNNI “RE: EAPA 7647 - Supplemental Request for Information” dated December 17, 2021 (“PTNNI Supp RFI”).

⁵⁰ See Newtrend USA’s Letter “EAPA Consol. Case No. 7647 – Submission of Newtrend USA’s Supplemental RFI Response” dated January 11, 2022 (“Newtrend USA Supp RFI Response”); Starille’s Letter “EAPA Consol. Case No. 7647 – Submission of Starille’s Supplemental RFI Response” dated January 11, 2022 (“Starille Supp RFI Response”); Nutrawave’s letter “EAPA Consol. Case No. 7647 – Submission of Nutrawave’s Supplemental RFI Response” Dated January 11, 2022 (“Nutrawave Supp RFI Response”).

⁵¹ PTNNI’s letter “EAPA Consol. Case No. 7647 – Submission of PTNNI’s Supplemental RFI Response” dated January 18, 2022 (“PTNNI Supp RFI Response”).

The supplemental RFI responses revealed additional discrepancies. For example, PTNNI provided monthly production of intermediate glycine and consumption of raw materials that contradicts information provided in the CF-28 responses. While the importers and PTNNI reported a methanol consumption rate of [#] kg per kilogram of intermediate glycine produced in Exhibit J of the CF-28 responses,⁵² methanol consumption reported in the supplemental RFI responses varied from [#] kg to [#] kg per kg of intermediate glycine produced in various months.⁵³ Notably, [#] kg is almost [#] percent higher than [#] kg.

Methanol is an important production input because it is used to make solid glycine crystals that can be separated easily from other chemicals. PTNNI's production flow chart shows that methanol is an absolutely essential input for making solid intermediate glycine because when methanol is added after cooling, intermediate glycine precipitates out of the liquid solution of chemicals created in earlier production steps. Without this chemical, it is impossible to separate intermediate glycine (a solid) from the liquid solution. PTNNI did not provide a plausible explanation for why consumption of this input would vary by as much as [#] percent from one month to another. Methanol filters glycine, an especially important step in production of the USP-grade glycine PTNNI manufactures because this grade is considered suitable for human consumption as a food additive. Therefore, it is essential to use an adequate volume of methanol in each production batch.

The different consumption rates reported for different months in PTNNI's supplemental RFI response, which were also much lower than the fixed consumption rate reported in CF-28 responses, therefore indicated that PTNNI may not have produced all of the intermediate glycine it claimed in some months.⁵⁴ The enormous discrepancies in reported methanol consumption rates are particularly notable in light of Commerce's Issues and Decision Memorandum where Commerce wrote that “{w}hile Newtrend Thailand was given ample opportunity {...} to provide accurate and transparent consumption rates associated with each stage of the glycine production process, it has failed to provide all such information in a complete, accurate, and timely manner.”⁵⁵

CBP also asked for specific job titles and descriptions for all employees, as well as the dates when foreign workers entered and left Indonesia. Exhibit SQ-V-15 shows that one Thai supervisor, [name], arrived in Indonesia on [date]. All the other Thai workers arrived in Indonesia on [date] and [date].⁵⁶ This appears to contradict PTNNI's first RFI response, where the manufacturer stated that “most of the training is on-the-job training at Newtrend Indonesia by Thai employees that used to work at Newtrend Thailand {emphasis added}.”⁵⁷ However, PTNNI has claimed that workers began production on October 5, 2020, more than [#] weeks before the first Thai employee arrived. PTNNI has therefore claimed that its Indonesian production workers knew how to make glycine before the Thai workers who trained them even arrived in the country.

There were also inconsistencies between wage calculations created for payroll and the attendance records that PTNNI furnished with the supplemental RFI response. Wage calculations PTNNI

⁵² See the CF-28 Responses at Exhibit J.

⁵³ See PTNNI Supp RFI Response at Exhibit SQ-V-18a and Exhibit SQ-V-4.

⁵⁴ See PTNNI Supp RFI Response at Exhibit SQ-19 and CF-28 Responses at Exhibit J. See also TRLED June 15 PD Memo at Attachment 5 and PTNNI Response to Alleger's RFI Rebuttal at Exhibit 5.

⁵⁵ See PTNNI RFI Response at Exhibit 41, page 17.

⁵⁶ *Id.* at Exhibit SQ-V-15.

⁵⁷ See PTNNI RFI Response at 35.

provided show that the manufacturer only paid its Thai employees starting in [month]⁵⁸ even though it claimed that these workers trained the Indonesian production staff who began production in October 2020 and told CBP that the Thai employees arrived in [month]. PTNNI also said that it takes [#] months to train new workers.⁵⁹ This appeared inconsistent with PTNNI's previous claim that on October 5, 2020 it had full-scale production, only a few days after PTNNI claims to have finished installing equipment.

The attendance records show the days when each employee actually worked, while the wage calculations show the number of days the company paid each worker for during each month. The wage calculations only counted [#] days for [name] and [#] days for [name] in [month].⁶⁰ However, by counting the number of days these two employees were present according to the attendance records, CBP discovered that attendance records show that these employees worked [#] days and [#] days, respectively in [month].⁶¹

Notably, these inconsistencies in PTNNI's supplemental RFI response are not the first discrepancies CBP observed with PTNNI's labor, payroll, and attendance records. CBP also noted in the NOI that CF-28 responses showed one worker performing a production task at a time when according to attendance records, he was absent.⁶² These inconsistencies, when combined with the absence of Thai trainers for the first [#] weeks of production show a pattern of unreliable statements about workers in PTNNI responses.

CBP also asked Starille how it found PTNNI as a supplier, if the importer had ever received loans from the Group, and how Starille found [company] as a customer. In its response, Starille indicated that it made [description] to find any glycine suppliers other than PTNNI and that it purchased glycine from PTNNI on the recommendation of the Newtrend Group's [name and position]. Starille also sold [#] its glycine to [company] based on [name]'s advice.⁶³ Starille also told CBP that [name] provided Starille with a loan of \$[#], with no [description of loan terms], no [description of loan terms], and [description of loan terms].⁶⁴

CBP asked Nutrawave why it was registered at the same address as Newtrend USA, and if Nutrawave knew that Hao Wang was a senior manager at the Group when he became Nutrawave's CEO. Nutrawave acknowledged that the company was aware that Hao Wang was a senior official when he was hired as Nutrawave's CEO, and that Nutrawave was registered at the same address as Newtrend USA because this was [name]'s address.⁶⁵ The importer also indicated [company] lent Nutrawave \$[#]⁶⁶ and that [name] lent Nutrawave another \$[#].⁶⁷ These responses appear inconsistent with Nutrawave's claims to be unaffiliated with the Group.

Second Supplemental RFI

⁵⁸ See PTNNI Supp RFI Response at Exhibit SQ-V-12.

⁵⁹ *Id.* at 26.

⁶⁰ *Id.* at Exhibit SQ-V-12.

⁶¹ *Id.* at Exhibit SQ-V-13a.

⁶² See NOI at 8.

⁶³ See Starille Supp RFI response at 1-2.

⁶⁴ *Id.* at 3 and Exhibit SQ-3.

⁶⁵ See Nutrawave Supp RFI response at 2-3.

⁶⁶ *Id.* at 6.

⁶⁷ *Id.* at 6 and Exhibit SQ-3.

On February 8, 2022, CBP sent the manufacturer and importers a second supplemental RFI.⁶⁸ The importers responded on March 4, 2022⁶⁹ and PTNNI submitted its response on March 9, 2022.⁷⁰ CBP asked PTNNI when Newtrend Thailand ceased glycine production and also asked for more details about the family relationships between Newtrend USA’s president, Hao Wang, and other senior leaders of the Group. CBP also asked Nutrawave for a list of all CEOs, the start and end dates of their employment, and their relationship with Group senior executives.

In its response, Nutrawave indicated that [name], one of Nutrawave’s CEO’s, is the [relationship] of Hao Wang, Nutrawave’s first CEO. Nutrawave also explained that [name] is the [relationship] of [name], the [position] of the Group. Nutrawave further explained that [name], a manager at PTNNI and former employee of [company], is also the [relationship] of the two Nutrawave CEOs, Hao Wang and [name].⁷¹ These two managed Nutrawave from [month] until [month].⁷² PTNNI also told CBP that Newtrend Thailand ceased production of glycine in [month].⁷³

CBP also asked PTNNI why there appeared to be a discrepancy between the dates when the Thai works arrived, the dates they were hired by PTNNI, and the dates when they were first paid. PTNNI responded that “The initial arrangement between PTNNI and Newtrend Thailand for the Thai employees to work at PTNNI can be thought of as a similar to a secondment.” PTNNI further stated that throughout the time they worked at PTNNI, the Thai workers were paid by Newtrend Thailand rather than by PTNNI, but PTNNI began paying a meal allowance to the Thai workers in [month]. The company further elaborated that since the Thai workers still could not return home in June 2021 due to Covid-19 travel restrictions, PTNNI began paying them a salary in that month.⁷⁴

When asked if any of its Indonesian employees can speak Chinese (Mandarin), English, or Thai, PTNNI indicated that [#] production workers can speak Chinese, English or Thai.⁷⁵ The company also indicated that only [#] of its Chinese managers⁷⁶ and [#] of its Thai employees⁷⁷ can speak Indonesian above a [description] level. PTNNI also indicated that [#] of its Indonesian staff had experience working in the chemicals industry before they were hired.⁷⁸ These

⁶⁸ See CBP’s letter to Starille “EAPA Case No. 7647,” dated February 8, 2022 (“2nd Supp RFI to Starille”); CBP’s letter to PTNNI “EAPA Case No. 7647,” dated February 8, 2022 (“2nd Supp RFI to PTNNI”); CBP’s letter to Nutrawave “EAPA Case No. 7647,” dated February 8, 2022 (“2nd Supp RFI to Nutrawave”); and CBP’s letter to Newtrend USA “EAPA Case No. 7647,” dated February 8, 2022 (“2nd Supp RFI to Newtrend USA”).

⁶⁹ See Nutrawave Co., Ltd.’s letter “RE: EAPA Cons. Case 7647 – Submission of Nutrawave’s Supplemental RFI Response,” dated March 4, 2022 (“Nutrawave 2nd Supp RFI response”); Starille, Ltd.’s letter “RE: EAPA Cons. Case 7647 – Submission of Starille’s Supplemental RFI Response,” dated March 4, 2022 (“Starille 2nd Supp RFI Response”); and Newtrend USA Co., Ltd.’s letter “RE: EAPA Cons. Case 7647 – Submission of Newtrend USA’s Supplemental RFI Response,” dated March 4, 2022 (Newtrend USA 2nd Supp RFI”).

⁷⁰ See PTNNI’s letter “RE: EAPA Cons. Case 7647 – Submission of PTNNI’s Supplemental RFI Response” dated March 9, 2022 (“PTNNI 2nd Supp RFI Response”).

⁷¹ See Nutrawave 2nd Supp RFI Response at 2.

⁷² *Id.* at 1.

⁷³ See PTNNI 2nd Supp RFI Response at 1.

⁷⁴ *Id.* at 18-19. CBP asked PTNNI about variation in raw materials, not only methanol, because [input] consumption also varied considerably from month-to month in PTNNI’s Supp RFI Response.

⁷⁵ *Id.* at 25.

⁷⁶ *Id.* at 26.

⁷⁷ *Id.* at 24.

⁷⁸ *Id.* at 29.

statements appear to contradict previous claims that PTNNI began production as soon as its factory was completed because they indicate that the Indonesian workers had [description] experience and would need to learn how to operate the equipment very quickly, with only [number of staff] with whom they could communicate. When asked which equipment PTNNI employees were trained to operate, PTNNI indicated that employees “are [description].”⁷⁹

CBP also asked PTNNI why there was considerable monthly variation in the quantity of raw materials consumed to produce one kilogram of intermediate glycine in its supplemental RFI response at Exhibit SQ-V-4. PTNNI responded that “PTNNI respectfully disagrees with CBP’s assertion that there is ‘considerable variation’ in the quantity of inputs consumed per unit of intermediate glycine produced. Using the values originally reported in Exhibit SQ-V-4, PTNNI has calculated the approximate per unit amount per month of each raw material to produce one unit of intermediate glycine and the standard deviation amongst the reported set.”⁸⁰ This does not address the variation in the monthly consumption rates for methanol in PTNNI’s supplemental RFI response.

Voluntary Factual Information

On December 21, 2021, the allegor submitted factual information in response to PTNNI’s first RFI response.⁸¹ The allegor asserted that the information in PTNNI’s RFI response was likely false because the factory could not have been fully constructed before the production start date and supported this contention by submitting an affidavit from the Plant Manager of Geo’s U.S. production facility stating that it would be impossible to construct a glycine factory in less than 11 months.⁸²

The allegor further claimed that PTNNI’s electricity, water, and natural gas bills were too low. Geo cited an affidavit from the Vice President of Operations for [company], a [location] glycine producer that uses the same monochloroacetic acid (“MCA” or “MCAA”) production process as PTNNI, to argue that it would cost more for these utilities than what PTNNI paid to produce the volume of glycine imported from PTNNI during the POI.⁸³

Geo also asserted that PTNNI did not purchase enough raw materials.⁸⁴ Geo supported this contention with trade data from a trade data subscription service and raw material consumption rates from a factory in India that uses the same glycine production process as PTNNI that produces glycine by mixing MCA, hexamine, and ammonia. The Indian factory uses at least [#] kg of methanol per kg of intermediate glycine produced.⁸⁵

⁷⁹ *Id.* at 24.

⁸⁰ *Id.* at 26.

⁸¹ *See*: Geo’s letter “EAPA Case No. 7647: Comments on and Submissions of Factual Information in Rebuttal to Importers’ November 26, 2021, RFI Response and PT Newtrend’s December 3, 2021, RFI Response,” dated December 21, 2021 (“Geo first RFI Rebuttal”). The Business Confidential Version of this document was placed on the record on December 13, 2021, along with the Public Version. However, CBP rejected the public version at the request of PTNNI and the importers. Geo resubmitted public summaries on December 21, 2021.

⁸² *See* Geo first RFI Rebuttal at 1-2 and Exhibit 1.

⁸³ *Id.* at 3-4 and Exhibit 2.

⁸⁴ *Id.* at 8-10 and Exhibit 5.

⁸⁵ *Id.* at Exhibit 5. Notably, this is a conservative consumption rate because it does not include the recycled methanol that the Indian producer also consumed. If recycled methanol were also included, the methanol consumption rate for this company would be even higher.

On January 3, 2022, PTNNI and the importers submitted information in rebuttal to Geo’s December 13 submission.⁸⁶ PTNNI asserted that the time it would take to build a factory in the U.S. is not relevant to the timing of construction in Indonesia because construction and labor standards are different there.⁸⁷ The manufacturer supported its contention that the factory had equipment installed by submitting equipment installation records for one [equipment], one [equipment],⁸⁸ one [equipment] (which notably does not match the name of any piece of equipment PTNNI included in the lists of equipment it provided in RFI responses)⁸⁹, and eight [equipment] all installed in [month].⁹⁰

The importers and manufacturer also submitted an affidavit from [name], the director of PTNNI, stating that seven months is a plausible timeframe to build an Indonesian factory and that he personally oversaw the installation of the equipment in the installation records.⁹¹ PTNNI and the importers further argued that the amount of electricity and water used in a glycine factory like PTNNI’s that uses the MCA process would be lower than the consumption rate at a glycine facility that uses Geo’s production process, the “streeker” production process, which uses hydrogen and cyanide as raw materials.⁹² (Notably, the information submitted by the alleged came from [company], a [location] glycine producer, and an Indian producer that both use the same MCA process as PTNNI.⁹³

PTNNI and the importers also claimed that rates of raw material consumption would vary from one factory to another, and that PTNNI’s MCA process is usually a “semibatch” process that reduces raw material consumption compared with the consumption rates used by Geo. To support this argument, PTNNI and the importers submitted part of the patent for this semi-batch process.⁹⁴ However, this information does not support the manufacturer’s contention that their production process is different from [company]’s because [company] is the [description] cited by PTNNI and uses the same process described in this patent that PTNNI uses. Therefore, the consumption rates provided by the alleged based on [company]’s experience should be similar to consumption rates of other glycine factories using the same MCA process, including PTNNI.⁹⁵

PTNNI further asserted that due to the “wide variation in methods and sub-methods of production of glycine” consumption rates for electricity, natural gas, water, and raw materials would likely be different between different factories around the world. They specifically claimed that the Indian factory cited by the alleged uses an “ammoniation” {sic.} process without providing any explanation for how this is different from PTNNI’s MCA process. Both the information provided by PTNNI, and the information submitted by the alleged show that this Indian producer

⁸⁶ See PTNNI and Importers’ Letter “EAPA Consol. Case No. 7647 – Submission of Rebuttal to GEO’s December 21, 2021” dated January 3, 2022 (“PTNNI Response to Allegor’s RFI Rebuttal”).

⁸⁷ *Id.* at 2.

⁸⁸ *Id.* at Exhibit 3.

⁸⁹ See PTNNI RFI Response to Allegor’s RFI Rebuttal at Exhibit 15, PTNNI Supp RFI Response at SQ-V-18B, and PTNNI 2nd Supp RFI Response at Exhibit SQ2-IV-13.

⁹⁰ *Id.* at Exhibit 3.

⁹¹ *Id.* at Exhibit 4.

⁹² *Id.* at 5-7.

⁹³ See Geo First RFI Rebuttal at Exhibit 2 and Exhibit 5.

⁹⁴ See PTNNI Response to Allegor’s RFI Rebuttal at 8 and Exhibit 5.

⁹⁵ See Geo first RFI Rebuttal at Exhibit 2.

manufacturers glycine by combining MCA and ammonia with a hexamine catalyst, the MCA process.⁹⁶ PTNNI and the importers also specifically claimed that the Indian producer uses ammonia in [description] form, while PTNNI uses ammonia in [description]. PTNNI claimed that this difference would cause their consumption rates for raw materials to be quite different from the consumption rates of the Indian factory, without providing any support for this claim.⁹⁷

On February 14, 2022, the manufacturer and importers submitted additional voluntary factual information.⁹⁸ They asserted that the Indonesian government requires bills of lading and packing lists for applications for country-of-origin certificates. Therefore, all country-of-origin certificates issued by the Indonesian government must be dated after the date of exportation.⁹⁹ They also provided publicly available trade statistics from an Indonesian government website to show that Indonesia had no imports of glycine from Thailand during the POI.¹⁰⁰ They further provided sales reconciliations for all the Chinese and Thai affiliates of the Group. Based on these records, the Thai and mainland Chinese affiliates of the Group had no direct sales to PTNNI.¹⁰¹ However, PTNNI never provided sales reconciliations for the two affiliates of PTNNI, [company] and [company].¹⁰² PTNNI's sales reconciliations also show glycine sales from Chinese affiliates of the Group to [company] in 2020¹⁰³ and 2021,¹⁰⁴ and the reconciliations also show that Chinese Newtrend Group affiliates sold glycine to [location]¹⁰⁵ and to trading companies.¹⁰⁶ PTNNI has also stated on the record that it has imported goods from [source] through a trading company in [location].¹⁰⁷

Verification

From May 3-6, 2022, CBP officials visited the site of PTNNI's factory in Indonesia to verify PTNNI's responses. During verification, CBP interviewed PTNNI employees about company operations and organization, toured PTNNI's facility to witness glycine production, and reviewed accounting records of production and sales records associated with imports of glycine by the importers. On June 13, 2022, CBP issued a report summarizing its verification findings and placed this report on the record of the investigation.¹⁰⁸ CBP also provided parties to the investigation notice of the extended deadline for written argument.

At verification, CBP officials observed serious problems with the first three stages of PTNNI's production process. The importers and manufacturer declared that the PTNNI produced USP-grade glycine in Indonesia and then sold it to the importers. Manufacturing USP-grade glycine is a multi-step process that requires specific equipment, labor, and raw materials. CBP's verification team observed the following deficiencies during the plant tour:

⁹⁶ *Id.* at Exhibit 5 and Geo First RFI Rebuttal at Exhibit 2.

⁹⁷ *Id.* at 8 and Exhibit 6.

⁹⁸ See PTNNI's letter "RE: EAPA Consol. Case No. 7663--Voluntary Submission of Factual Information" dated February 14, 2022 ("PTNNI Feb 14 Factual Info").

⁹⁹ *Id.* at 1-2.

¹⁰⁰ *Id.* at Exhibit 5 and Exhibit 6.

¹⁰¹ *Id.* at Exhibits 7-18.

¹⁰² See PTNNI RFI Response at Exhibit 3 and PTNNI Feb 14 Factual Info at Exhibits 7-18.

¹⁰³ *Id.* at Exhibit 9.

¹⁰⁴ *Id.* at Exhibit 10.

¹⁰⁵ *Id.* at Exhibit 11.

¹⁰⁶ *Id.* at Exhibit 15.

¹⁰⁷ See PTNNI 2nd Supp RFI Response at 2.

¹⁰⁸ See CBP's email "EAPA-00007674" dated June 13, 2022.

1. First Production Step – MCA [process]

In the first production step, PTNNI [process] MCA [description] into water. MCA is dangerous because it is highly acidic and can cause fatal burns, eye irritation, and poisoning.¹⁰⁹ CBP officials at verification witnessed PTNNI personnel mishandling these [inputs] while preparing them for the [process] stage, potentially endangering CBP staff. As result, CBP officials could not observe this step of the production process.¹¹⁰

2. Second Production Step -Mixing MCA, Hexamine and Ammonia¹¹¹

In the second stage, PTNNI mixes three chemicals, MCA, ammonia, and hexamine, to create a chemical reaction that produces a liquid slurry containing intermediate glycine and impurities, such as ammonium chloride.¹¹² Both pH and temperature must be precisely monitored during this reaction. According to information provided by the allerger from a chemical engineer with experience working in a glycine factory, “pH control is the penultimate concern in the production of glycine. {...} Without precise pH probes, it is impossible to manufacture glycine on a bulk basis.”¹¹³

At verification, PTNNI officials told CBP that their pH meter is not accurate, and that the manufacturer relies on pH strips to test the pH. These strips can only determine pH within a range, such as such as 6.0 to 6.5 rather than the precise measurements (such as 6.7 or 6.9) recorded on production records.¹¹⁴ This suggests that PTNNI may not be capable of the precise pH monitoring needed to sustain industrial-scale glycine production. Notably, CBP officials also did not observe any employees filling out production records while production occurred,¹¹⁵ which further indicates that pH levels recorded on production records were inaccurate. This also means that other information about this step -including the names of employees performing it; the temperatures of the reaction; the start and end times for the reaction; and the quantities of ammonia, MCA, and Hexamine consumed- were not recorded accurately or precisely.

3. Third Step – Alcohol Precipitation

In the next production step, the liquid slurry of glycine and ammonium chloride must be transferred to a different receptacle where it is mixed with methanol, a type of alcohol, and then cooled. This separates the intermediate glycine into solid crystals floating in the liquid.¹¹⁶ According to the patent for PTNNI’s production process, impurities such as ammonium chloride dissolve in the methanol but glycine does not.¹¹⁷ Thus, methanol is an essential input into the production process because it separates glycine in a solid state from ammonium chloride, which is dissolved into the

¹⁰⁹ See CBP’s Memo “Adding New Information to the Administrative Record of EAPA Case 7647” dated June 15, 2015 (“June 15 PD memo”) at Attachment 7.

¹¹⁰ See CBP Verification Report “U.S. Customs and Border Protection Office of Trade Verification Report Enforce and Protect Act Case Number 7647” dated June 7, 2022 (“Verification Report”) at 6.

¹¹¹ See PTNNI Supp RFI Response at Exhibit SQ-V-19. PTNNI also calls this step “ammonization.”

¹¹² See PTNNI Supp RFI response at Exhibit SQ-19 and CF-28 Responses at Exhibit J. According to the CF-28 responses ammonium chloride is the main waste product produced at this stage.

¹¹³ See Geo NFI rebuttal at Exhibit 1.

¹¹⁴ See Verification Report at 15 and Attachment VI.

¹¹⁵ *Id.* at 5.

¹¹⁶ See PTNNI Supp RFI Response at Exhibit SQ-19 and CF-28 Responses at Exhibit J.

¹¹⁷ See TRLED June 15 PD Memo at Attachment 5 and PTNNI Response to Allerger’s RFI Rebuttal at Exhibit 5.

methanol and remains liquid. PTNNI needs to consume an adequate quantity of methanol because PTNNI claims to produce glycine at a level of purity that is fit for human consumption.

However, CBP did not witness PTNNI employees using any methanol at verification, even though CBP officials asked to see this essential production step on three separate days.¹¹⁸ Further, the only storage tank for methanol that CBP employees observed at verification likely contained hydrochloric acid instead of methanol because the material safety data sheet on the methanol tanks states that the contents are hydrochloric acid. The material safety data sheet further listed the correct pH and Chemical Abstracts Services number for hydrochloric acid rather than for methanol.¹¹⁹ Since this was the only methanol tank observed by CBP, it means that CBP did not observe any methanol stored at PTNNI's factory.¹²⁰ It is simply impossible to produce glycine using the process described in PTNNI's production flow chart and in the patent PTNNI placed on the record of this investigation without methanol. Hydrochloric acid cannot be used in place of methanol.

CBP also calculated that PTNNI did not purchase enough methanol to produce the volume of glycine they claim to have produced, based on a consumption rate PTNNI and the importers provided in their CF-28 responses. PTNNI would have needed [#] kg of methanol to produce the volume of glycine it claims to have manufactured during the POI. However, PTNNI only purchased [#] kg of methanol.¹²¹ Notably, CBP found a much higher consumption rate than the one used in this analysis when CBP calculated a consumption rate using an actual production batch.¹²² Although this consumption rate is only based on a single production batch, it would be very unlikely to have an average monthly consumption rate of [#] kg¹²³ of methanol, the average consumption rate PTNNI calculated using the monthly data provided in RFI responses, when individual production batches show consumption rates as high as [#] kg¹²⁴ of methanol. Mathematically, there would need to be many other batches with a correspondingly low methanol consumption rate to offset the [#] kg rate observed for one batch. The consumption rate reported in the CF-28 responses is also lower than the consumption rate for an Indian producer using the same production process as PTNNI.¹²⁵ Therefore this analysis gives PTNNI and the importers the benefit of the doubt by using their CF-28 consumption rate, even though it is much lower than some other consumption rates on the record.

4. Seventh Step - Filtering

CBP also did not observe a later step, the filtering of intermediate glycine with [input] to increase its purity level so that the finished product can meet the USP-grade standard. According to PTNNI's production process, the manufacturer dissolves intermediate glycine in a liquid called [input]. This [input] is then filtered using [input] to remove impurities. CBP asked to see this step on three separate days, but PTNNI refused to show it. CBP also calculated that PTNNI only purchased [#] kg of [input] during the POI, but would have needed [#] kg to produce the volume of finished

¹¹⁸ Verification Report at 5-6.

¹¹⁹ *Id.* at 16 and Attachment IV.

¹²⁰ *Id.* at 5 and Attachment IV.

¹²¹ *Id.* at 16.

¹²² *Id.* at 16.

¹²³ See PTNNI Supp RFI Response at Exhibit SQ-V-4 at Attachment 3.

¹²⁴ See Verification Report at 16.

¹²⁵ See Geo first RFI Rebuttal at Exhibit 5.

glycine it sold to the importers, leaving a shortage of [#] kg, more than [#] percent.¹²⁶ This calculation was also based on actual production batches of refined glycine from a sales reviewed by CBP and placed on the record as verification Exhibit 2.¹²⁷ As with methanol, it is critical for PTNNI to consume an adequate volume of [input] because PTNNI must purify glycine adequately before selling it as USP-grade, pure enough for human consumption.

5. Methanol Recycling

CBP officials also noted some problems with the process of methanol recycling at PTNNI. Workers in the methanol distillation tower control room told CBP officials that there were no controls other than a switch to turn the distillation tower on and off. There was a computer which they claimed monitored the recovery of recycled methanol in the distillation tower, but it did not control anything, and could neither save nor print any records. These workers could not explain the methanol recycling and claimed to have learned their jobs in only a few weeks.¹²⁸

6. Inconsistencies with Utilities and Raw Materials Purchases

In addition to problems with individual production steps, CBP also witnessed inconsistencies related to PTNNI's raw material and utilities purchases affecting the entire production process. CBP noted that for every input PTNNI claimed to have purchased, there were unpaid invoices. PTNNI claimed that it deliberately withheld payment of these invoices because its suppliers provided low quality inputs. Company officials told CBP that in response to PTNNI's complaints, some suppliers extended the repayment deadline by [#] days. However, CBP officials noted that many of the unpaid invoices were older than [#] months. PTNNI provided no explanation for this inconsistency. Further, PTNNI provided no explanation for why it continued to source raw materials from suppliers of low-quality inputs.¹²⁹

PTNNI's claim at verification that its suppliers provided low quality inputs also contradicted its previous claims. CBP directly asked PTNNI in the second supplemental RFI “{a}s an affiliate of an established glycine producer, why does PTNNI not select suppliers who can guarantee standard quality of raw materials?”¹³⁰ Notably PTNNI responded by stating that “{a}t no point did PTNNI state that its suppliers cannot guarantee “***standard*** quality of raw materials {boldface and italics in the original}.”¹³¹

Nonetheless, PTNNI also claimed that its natural gas supplier provided inconsistent and at times, low quality natural gas to explain why its natural gas consumption spiked in [month]. The company stated that it first observed the low quality gas in [month], which was inconsistent with the timing of the [month] spike.¹³² When CBP asked for documentation of the low quality gas, PTNNI provided a letter that was even more inconsistent with PTNNI's timeline of events because the letter was dated [date] and it stated that “i}n [month], our company {PTNNI} found that the quality of raw materials provided by your company was [description]

¹²⁶ See Verification Report at 17.

¹²⁷ *Id.* at 17 and Verification Exhibit 2.

¹²⁸ *Id.* at 15.

¹²⁹ *Id.* at 9 and 12.

¹³⁰ See PTNNI 2nd Supp RFI Response at 8.

¹³¹ *Id.* at 28.

¹³² See Verification Report at 13.

CBP also noted discrepancies with other utilities at verification. The verification team asked PTNNI to explain why its electricity consumption also spiked in [month]. PTNNI responded that it installed a new piece of equipment called an evaporative condenser in [month] which used a lot of electricity.¹³³ CBP noted that this timeline was inconsistent because the consumption spiked in [month] rather than in [month], but PTNNI provided no explanation for this discrepancy. Therefore, CBP asked PTNNI to provide additional documentation that the evaporative condenser was installed in [month]. PTNNI provided results of a test showing [description], but this test made no mention of the evaporative condenser and no mention of installing equipment.¹³⁴ Notably, this explanation was also inconsistent with PTNNI's statement in its RFI response that after October 1, 2020 "PTNNI did not install additional production equipment or construct new facilities within the current factory."¹³⁵

CBP officials observed a tank with stenciling clearly stating that it contained ammonia in [description] form and PTNNI employees confirmed that they use ammonia in [description] form while explaining their maintenance records.¹³⁶ Notably, PTNNI previously argued that CBP should disregard the allegor's information about consumption rates of an Indian glycine producer because PTNNI uses ammonia in [description] form while the Indian producer uses it in [description] form. This was a false statement and therefore, PTNNI's consumption rate should be similar to the Indian producers.¹³⁷

7. Factory Labor

At verification, CBP officials also noted discrepancies in PTNNI's statement about labor. CBP officials asked production workers which tasks they could perform and each one told CBP they could only perform one task and only worked at one production step.¹³⁸ In its Second supplemental RFI response, PTNI told CBP that their workers have no fixed task and could perform all tasks needed for production.¹³⁹ This indicates that PTNNI made a false statement to CBP in the second supplemental RFI response that obscures whether or not PTNNI had workers with the skills and training to operate each piece of equipment. The lack of trained workers in the methanol distillation tower control room further supports concerns that while PTNNI may have had workers throughout the POI, they may not have had adequate training for large-scale glycine production.¹⁴⁰ CBP officials were also not able to witness some steps of the production process because PTNNI did not provide any safety equipment for the factory tour and PTNNI employees did not use safety gear either. Additionally, CBP observed workers handling MCA unsafely, which indicates that they were inadequately trained.¹⁴¹

Inside PTNNI's office there were no office support staff. PTNNI claimed they were all on vacation for the Eid al-Fitri Indonesian national holiday. However, the [position] could not name a single one of these employees, even though their desks were less than 20 feet from his office.

¹³³ *Id.* at 13.

¹³⁴ *See* Verification Exhibit 11.

¹³⁵ *See* PTNNI Supp RFI Response at 13.

¹³⁶ *See* Verification Report at 9 and Attachment V.

¹³⁷ *See* PTNNI Response to Allegor's RFI Rebuttal at Exhibit 5.

¹³⁸ *Id.* at 15.

¹³⁹ *See* PTNNI 2nd Supp RFI Response at 24.

¹⁴⁰ *Id.* at 15.

¹⁴¹ *Id.* at 6 and 14.

Instead, he asked [name], who works in [location] not at PTNNI, the names of the office staff.¹⁴²

CBP officials did not observe any company employees filling out production records in the factory.¹⁴³ This provides evidence that information on production records - including the names of employees performing each task, the pH in the kettles where ammonia and MCA were combined, the temperatures, the start and end times of production tasks, and the quantities of raw materials consumed at each production run- were at best, educated guesses based on supervisors' memories from hours or even days after production runs.

CBP employees could not verify the presence of workers listed in production records from the POI because all workers CBP officials interviewed had worked at the factory [#] months or less, except for [name], the supervisor, even though PTNNI has purportedly been producing since October 2020. Further, CBP could match the names of only [#] employees from a Whatsapp chat employees used to clock in and out of work with the list of about [#] employees found in Exhibit 28 of the RFI¹⁴⁴ response or SQ-V-14 in PTNNI's supplemental RFI response.¹⁴⁵ Further, PTNNI was unable to trace payment of wages from [date] to [date] to any bank statement or other financial document, except for PTNNI's [document]. Thus, PTNNI could not provide validation from a bank to prove that the manufacturer had received any money or disbursed any money for worker salaries during this time period.¹⁴⁶ During review of sales traces, CBP officials also discovered that workers' dates and times of attendance did not match the dates and times when they were supposed to have performed production steps.¹⁴⁷ CBP officials also noted that payroll records did not match attendance records because workers were paid for days when the factory was closed and they were not working.¹⁴⁸ It is notable that CBP also found similar discrepancies in the CF-28 responses and in PTNNI's supplemental RFI responses. CBP has therefore, found significant errors and problems with PTNNI's labor records throughout the course of this investigation.

8. Other Issues

Many rooms in the factory had operating instructions on the walls dated from [date].¹⁴⁹ However, these instructions were clearly posted after that date because photos of construction progress of the factory on KNIC's website show that no walls were constructed on [date]. PTNNI told CBP that the construction photos showing the factory building with walls not yet constructed were taken in late July 2020.¹⁵⁰ This indicates that these documents may have been posted to mislead CBP's verification team.

PTNNI officials acknowledged that no entries in the cash journal from [month] to [month] were actually recorded at that time. Instead, Ms. [name] began to maintain the cash journal

¹⁴² *Id.* at 15.

¹⁴³ *See* Verification Report at 5.

¹⁴⁴ *See* PTNNI RFI Response at Exhibit 28 and PTNNI 2nd RFI Response at Exhibit SQ2-IV-6.

¹⁴⁵ *Id.* at 15 and Verification Exhibit 8. *See also* PTTNI Supp RFI Response at Exhibit SQ-V-14.

¹⁴⁶ *Id.* at 11-12.

¹⁴⁷ *Id.* at 15 and Verification Exhibit 7.

¹⁴⁸ *See* Verification Exhibit 2.

¹⁴⁹ *See* Verification Report at 5.

¹⁵⁰ *See* PTNNI 2nd supp RFI Response at Exhibit SQ2-IV-15A and Oct. 19 Memo at Attachment 2.

only in [month] and created entries for previous months based on the recollections of remaining Indonesian office workers.¹⁵¹

Officials also observed packages of glycine ready for shipment with labels stating that the glycine contained in the packages was produced on [date]. However, PTNNI officials told CBP that the factory was not operating on that date.¹⁵²

CBP also noted several inconsistencies in the maintenance records. The maintenance records showed that a PTNNI employee inspected the equipment every day the company was operational. However, these records only showed inspections for [#] pieces of equipment, even though lists of equipment from responses show at least [#] pieces of equipment in the factory.¹⁵³ The records also noted whether each piece of equipment was operating normally, [description], [description], [description], or [description]. These records showed that every piece of equipment was marked as [description] or [description], even though CBP officials observed [description] in the [equipment] and PTNNI company officials explained that the company had experienced a potentially fatal leak of [input] that required production to be shut down for [time].¹⁵⁴ These inconsistencies indicate that the maintenance records were either incomplete or fabricated.

Additional Research by CBP

In order to understand the information placed on the record by the parties, CBP conducted additional research using public sources. CBP placed the additional information it found on the record on June 15, 2022.¹⁵⁵ This information included trade statistics from a public Indonesian government website.¹⁵⁶ Notably, CBP used the same public website where PTNNI and importers had previously found no records of Indonesian imports of glycine from Thailand. CBP also used the same HS category as PTNNI and the importers.¹⁵⁷ CBP added analysis consisting of a line graph and percent changes of yearly imports which shows that Indonesian imports from China of HS 29224900, which includes glycine, increased 30.8 percent from 2020 to 2021. This analysis also shows that Indonesian imports from China of this HS category that entered through Jakarta increased 31.7 percent from 2020 to 2021, even more than they did for all Indonesian ports.¹⁵⁸ This is notable because all of PTNNI's glycine exports to the U.S. were [location description], the same [location description].¹⁵⁹

CBP's June 15, 2022, memo also contained information about the dangers of handling MCA and ammonia. Attachment 6 shows that "{e}xposure to ammonia gas or ammonium hydroxide can result in corrosive injury to the mucous membranes of the eyes, lungs, and gastrointestinal tract

¹⁵¹ See Verification Report at 11.

¹⁵² *Id.* at Attachment VI.

¹⁵³ See PTNNI RFI Response at Exhibit 15, PTNNI Supp RFI Response at Exhibit SQ-IV-13, and CF-28 Responses at Exhibit T.

¹⁵⁴ *Id.* at 9.

¹⁵⁵ See June 15 PD Memo.

¹⁵⁶ *Id.* at Attachments 1-3.

¹⁵⁷ See PTNNI Feb 14 Factual Info at Exhibit 5 and Exhibit 6.

¹⁵⁸ See June 15 PD Memo at Attachment 4.

¹⁵⁹ See Oct. 19 Memo at Attachments 5 and 8, PTNNI RFI response at Attachments 17-19, and CF-28 Responses at Exhibit K.

and to the skin due to the alkaline pH and the hygroscopic nature of ammonia.”¹⁶⁰ Public information in this memo also shows that “fatal cases and life-threatening poisonings in workers have been described after skin contact” with MCA, including one case “in which about 10% of the body surface was contaminated with warm MCAA solution.” This individual died 10 hours later “although the contaminated skin was immediately rinsed with water”.¹⁶¹

Written arguments

On June 16, 2022, the importers submitted written arguments. These arguments consist of (1) Criticisms of CBP’s material calculations; (2) Arguments against CBP’s Procedures; (3) Arguments that the record does not meet the evidentiary threshold to support a finding of evasion; (4) Claims that the verification report ignored evidence; and (5) other claims.¹⁶²

1. Criticisms of CBP’s Raw material calculations

Comments: The importers contend that methanol recycling explains the apparent shortage,¹⁶³ that CBP miscalculated methanol consumption rate, and provide an alternative calculation in Attachment 3.¹⁶⁴

CBP’s position: The manufacturer provided no information on the record tying any production batches at PTNNI to recycling of methanol or any information about how many times methanol can be recycled. Instead, each production batch ties to newly purchased methanol.

Whether PTNNI purchased enough methanol for production depends on the consumption rate, yet PTNNI and the importers provided multiple consumption rates. The importers claim that PTNNI consumed [#] kg¹⁶⁵ of methanol per every kg of intermediate glycine produced, based on one consumption rate, but PTNNI and the importers reported a methanol consumption rate of [#] kg of methanol per each kg of intermediate glycine production in the CF-28 responses.¹⁶⁶ CBP also calculated a consumption of [#] kg to make one kg of intermediate glycine, based on actual production batches.¹⁶⁷

Further, the importers’ calculations depend on monthly consumption figures that are unreliable because they vary by [#] percent from one month to another. Methanol consumption in Exhibit SQ-V-4, the source for the importers’ [#] kg average consumption rate, varied from [#] kg to [#] kg, which is a variation of [#] percent. It is implausible that the consumption rate would vary so much because industrial-scale glycine manufacturing requires consistency. When CBP gave PTNNI an opportunity to explain why there was so much monthly variation,¹⁶⁸ the company responded that “PTNNI respectfully disagrees with CBP’s assertion that there is ‘considerable

¹⁶⁰ See June 15 PD Memo at Attachment 6.

¹⁶¹ *Id.* at Attachment 7, page 4 of 32.

¹⁶² See: the importers’ letter “EAPA Cons. Case 7647 – Importers’ Rebuttal Written Arguments” dated June 16, 2022 (“written arguments”).

¹⁶³ *Id.* at 18.

¹⁶⁴ *Id.* at Attachment 3 and PTNNI supp RFI Response at SQ-V-4.

¹⁶⁵ *Id.* at Attachment 3 and PTNNI Supp RFI at SQ-V-4.

¹⁶⁶ See CF-28 Responses at Exhibit J.

¹⁶⁷ See Verification Report at 17.

¹⁶⁸ See 2nd Supp RFI to PTNNI at 8.

variation' in the quantity of inputs consumed per unit of intermediate glycine produced."¹⁶⁹ Thus, PTNNI was nonresponsive when asked to explain this discrepancy.

In contrast to PTNNI's low reported methanol consumption, the allegor provided a methanol consumption rate of [#] kg of methanol per kilogram of intermediate glycine production¹⁷⁰ in its rebuttal to PTNNI's first RFI response.

It is also notable that PTNNI provided false information to CBP in response to the allegor's information. PTNNI wrote in rebuttal to the allegor's factual information that the consumption rate the allegor provided was not a reasonable comparison for PTNNI because PTNNI uses [description] ammonia but the Indian factory whose data the allegor placed on the record uses ammonia in [description] form.¹⁷¹ Significantly, CBP discovered at verification that this is a false statement because PTNNI uses ammonia in [description] form.

PTNNI's false information about the state of its ammonia, combined with the inconsistent methanol consumption rates it reports in different responses mean that the consumption rate placed on the record by the allegor is more reliable than the consumption rates placed on the record by PTNNI. The fact that PTNNI did not directly respond to the question about variation in raw material consumption rates in the second RFI response, and the fact that CBP cannot tie the low methanol consumption rate reported in the RFI response to any individual production batches, provides further evidence that this figure is not reliable. Since the only difference that PTNNI could identify in production process between the Indian factory cited by the allegor and PTNNI's process was based on a false statement (that PTNNI uses [description] rather [description] ammonia), the allegor's information is highly relevant to PTNNI.

Based on the consumption rate the importers provided CBP in their CF-28 responses, PTNNI purchased less than [#] of the methanol it consumed. This means that even if PTNNI could consume every kilogram of methanol purchased [#] times, there would still be a shortage of methanol. PTNNI's production records tie each production batch only to a lot of purchased methanol and there is no mention in any production records of consumption of recycled methanol.¹⁷² However, the information placed on the record by the allegor shows that a comparable factory uses both new methanol and recycled methanol for every batch of intermediated glycine.¹⁷³ Therefore, if PTNNI consumed both recycled and fresh methanol, its total consumption of methanol (newly purchased methanol plus recycled methanol) would also be higher than the [#] kg of new methanol per kg of intermediate glycine CBP used to calculate the shortage of methanol purchased by PTNNI in the verification report.

2. Procedural arguments

Comments: The importers assert that CBP must find that evidence of evasion meets a preponderance of the evidence standard to make an affirmative determination in this case. They argue that because the U.S. Court of Appeals for the Federal Circuit found in *Cresswell Trading*

¹⁶⁹ See PTNNI 2nd Supp RFI at 26.

¹⁷⁰ See Geo first RFI Rebuttal at Exhibit 5.

¹⁷¹ See PTNNI Response to Allegor's RFI Rebuttal at 8 and Exhibit 6.

¹⁷² See Newtrend USA CF-28 Response at Exhibit K; Nutrawave CF-28 Response at Exhibit K; Starille CF-28 Response at Exhibit K; PTNNI RFI Response at Exhibit 23A and 23B; and PTNNI 2nd Supp RFI Response at Exhibits SQ2-IV-16A, SQ2-IV-B, SQ2-IV-16C, SQ2-IV-16D, and SQ2-IV-16E.

¹⁷³ See Geo first RFI Rebuttal at Exhibit 5, page 17 of 58.

Co. that Commerce must meet this standard, CBP must also meet this standard in evasion cases. Specifically, the importers note that CBP must make two determinations (1) whether the merchandise is subject to an ADCVD order and (2) whether that merchandise was entered into the customs territory of the United States without paying applicable AD/CV duties due a material and false statement or omission.¹⁷⁴ The importers claim that the substantial evidence standard “only applies to CBP’s conclusion regarding whether the alleged entered merchandise is subject to an AD or CVD order”.¹⁷⁵

The allegor responded that CBP must make an affirmative determination as to evasion if the evidence meets a substantial evidence standard. The allegor points out that the ruling cited by the importers directed Commerce to apply a preponderance of the evidence standard because there was no regulatory or legislative guidance on what standard Commerce should use at the time of that ruling (1994). Notably, the allegor points out that since the ruling in *Creswell*, Congress has passed the EAPA statute, which explicitly requires “CBP to determine, not later than 300 calendar days (or 360 calendar days in extraordinarily complicated cases) after the date of initiation of an EAPA investigation, whether there is substantial evidence that merchandise covered by an AD/CVD order was entered into the customs territory of the United States through evasion.”¹⁷⁶ The allegor also cites recent precedent in *Royal Brush Manufacturing, Inc.* where the “U.S. Court of International Trade (“C.I.T.”) found that found that CBP’s evasion finding must be based on “substantial evidence.” Geo further points to the ruling in *Diamond Tools Tech. LLC.* where the C.I.T. wrote that “Custom’s {final evasion} determination must be based on substantial evidence.”¹⁷⁷ The allegor also argues that the *Creswell* ruling cited by the importers only applied in a circumstance where a clear standard of proof was not laid out in statute and is therefore, superseded by the EAPA statute which lays out substantial evidence as the standard of proof CBP must meet to make determinations as to evasion in EAPA evasion cases.¹⁷⁸

CBP’s Position: The plain language of the EAPA statute, our regulations, and recent court rulings all set forth substantial evidence as the burden of proof for a finding of evasion in EAPA cases.

Comments: The importers also claim that they were not given due process because the deadline for written arguments was only three days after the release of the verification report. Specifically, they assert that “{t}o suggest that the Importers should have prepared written comments *in advance* of obtaining and reviewing the Verification Report is risible, as if the Importers were expected to foretell CBP’s future analysis regarding a verification **for which they were not present** {emphasis in the original}.”¹⁷⁹ They further contend that “CBP’s refusal to extend the deadline for written argument is the epitome of arbitrary and capricious agency action.”¹⁸⁰ They state that CBP took over one month to write the report and that “{i}t is CBP’s fault—certainly not the Importers—that CBP released the Verification Report so close to the statutory determination deadline.”¹⁸¹

¹⁷⁴ See Written arguments at 1.

¹⁷⁵ *Id.* at 2.

¹⁷⁶ See Geo’s letter “RE: EAPA Case No. 7647: GEO Specialty Chemicals, Inc.’s Rebuttal To Importers’ Written Arguments” dated July 1, 2022 (“Rebuttal to Written Arguments”) at 3.

¹⁷⁷ See Rebuttal to Written Arguments at 4.

¹⁷⁸ *Id.* at 3-4.

¹⁷⁹ See Written arguments at 34.

¹⁸⁰ *Id.* at 33.

¹⁸¹ *Id.* at 33.

CBP's position: The original deadline for written arguments in this investigation was March 8, 2022, but CBP extended the deadline until June 16, 2022,¹⁸² giving parties 100 extra days to submit written arguments. Notably, CBP only extended its own deadline to make a final determination in this case by 60 days, the maximum allowed by the EAPA statute.¹⁸³ Further, CBP set the deadline for written arguments to meet the statutory deadline for making a determination (360 days after initiation of this investigation) and thus did, not set the deadline arbitrarily. CBP's release of the report took time because verifications require coordination between multiple CBP offices (in this case, CBP's Regulatory Audit and Agency Advisory Service; the Center for Excellence and Expertise in Pharmaceuticals, Health and Chemicals; and the EAPA office within TRLED). CBP served this report to the interested parties only 37 days after the end of verification.

CBP also notes that it proposed earlier dates—April 18 through April 23, 2022—for the verification, but PTNNI would not allow CBP to conduct a verification visit at their factory during this time, further delaying the issuance of the verification report.¹⁸⁴ The importers would have had more time to submit written arguments after the release of the verification report if PTNNI had agreed to CBP's originally proposed dates.

One of the importers, Newtrend USA is also acknowledged by all parties to be the domestic U.S. affiliate of the Newtrend Group to which PTNNI belongs. Its current director and CEO, and former CEO of Nutrawave, Hao Wang¹⁸⁵, was [description].¹⁸⁶ The written arguments were also written by the importers' counsel, who also represent the manufacturer and were present at verification.¹⁸⁷ Therefore, the claim that representatives of Newtrend USA were not [description] and that Newtrend USA had no way to know what the verification team observed is not supportable by the record.

Comments: The importers claim that CBP's release of the June 15 memorandum constitutes a denial of due process because this was only one day before the deadline for written arguments and therefore, the importers did not have sufficient time to respond before this deadline.

CBP's position: The deadline for written argument had no bearing on the amount of time available for parties to the investigation to respond to this new information. 19 CFR § 165.23(c) states that "If CBP places new factual information on the administrative record on or after the 200th calendar day after the initiation of the investigation (or if such information is placed on the record at CBP's request), the parties to the investigation will have ten calendar days to provide rebuttal information to the new factual information."¹⁸⁸ Therefore, the plain language of the regulations clearly state that the importers had 10 days to respond to information CBP placed on the record on June 15, 2022. CBP also sent all parties to this investigation an email clarifying the 10-day deadline on June 17, 2022.¹⁸⁹ Further, CBP gave all parties 12 days to respond, more than the amount of time required by regulations.¹⁹⁰

¹⁸² See CBP email "EAPA-00007647" dated June 13, 2022, and CBP email "EAPA-00007647" dated February 25, 2022.

¹⁸³ See CBP email "EAPA-00007647" dated February 9, 2022.

¹⁸⁴ See email from PTNNI's and the Importers' counsel to Derek King dated March 2, 2022.

¹⁸⁵ See PTNNI RFI Response at 8 and Exhibit 6.

¹⁸⁶ See Verification Report at Attachment II.

¹⁸⁷ *Id.* at Attachment II.

¹⁸⁸ See 19 CFR § 165.23(c).

¹⁸⁹ See CBP's email "RE EAPA-0007647" dated June 17, 2022, at 2:06 PM.

¹⁹⁰ See CBP's email "RE: EAPA-00007647" dated June 17, 2022, at 5:34 PM.

Comments: The importers claim that CBP denied PTNNI due process by not providing a business confidential version of the Verification Report to PTNNI. PTNNI asserts that since the confidential information is PTNNI's own information, they have a right to see the full report. The importers further assert that "PTNNI and the Importers do not have the ability to fully analyze and challenge CBP's allegations."¹⁹¹

CBP's position: The importers' assertion mischaracterizes the EAPA verification process. The purpose of written arguments is not to rebut the verification report, but rather written arguments provide all parties to an EAPA investigation the opportunity to comment on the entire investigation. The verification report also has no findings, allegations, or new facts. Instead, verification is, as the name suggests, a verification, or an attempt to substantiate facts already on the record. The verification report is only a statement of facts.

CBP calculated consumption rates based on production records already on the record. CBP also found a shortage of methanol purchases based on a methanol consumption rate from the importers' own CF-28 submissions. Since the importers provided this data to CBP, they had this information available to them and could have used it to calculate the volume of methanol needed. PTNNI company officials were also present at verification, provided the data used in the verification report, and were given an opportunity to respond to CBP's concerns at verification. The claim that PTNNI was denied due process because CBP did not provide the manufacturer with a business confidential version of the report is not supported by the record.

Further, the verification report not only contains PTNNI's information, but also the full legal names of CBP employees, a translator hired by CBP, and Indonesian government employees who were present at verification. While the names of CBP employees are on the record of this investigation, the names of these other officials and employees are not. At verification, they were introduced by first name to PTNNI's representatives, but their full legal names were not disclosed.

Comments: The importers also contend that the attestation by an official from Indonesian Ministry of Trade and Industry that there was a fully constructed facility present at his site-visit on October 1, 2020 "directly contradicts CBP's suppositions in the Initiation Notice that PTNNI's facility did not exist at that time."¹⁹²

CBP's position: This is a mischaracterization of CBP's initiation notice because this notice did not contend that there was no factory building.¹⁹³ Photos of construction progress on the KNIC website already show the exterior of a factory building and were already on the record. Since the Indonesian official did not witness any equipment in use, his attestation merely confirms the existence of the factory. The mere existence of a building does not contradict the extensive evidence from the allegation and throughout the record that there were not enough trained workers, raw materials, or fully installed and operational equipment for production of glycine inside the factory building at that time.

3. Claims that the record does not meet the evidentiary threshold for a finding of evasion

¹⁹¹ See Written arguments at 37.

¹⁹² See Written arguments at 24.

¹⁹³ See NOI.

Comments: The importers state that they provided sales listings and sales reconciliations from all the Group's affiliated companies and claim that this is substantial evidence that they did not transship glycine through Indonesia. They further argue that PTNNI's accounting records submitted to CBP show no purchases of glycine from PTNNI's vendors.¹⁹⁴

CBP's position: The record shows that PTNNI never provided sales reconciliations for [#] of its affiliates, [companies].¹⁹⁵ Further, PTNNI provided sales reconciliations in its February 14, 2022 submission that show glycine sales from Chinese companies to trading companies in [location].¹⁹⁶ The sales reconciliations also show that the Group sold glycine to trading companies¹⁹⁷ and to [location].¹⁹⁸ PTNNI also stated that it has imported goods from affiliated companies through a trading company in [location].¹⁹⁹ Thus, the absence of any documents describing merchandise PTNNI purchased as "illegally transshipped Chinese glycine" does not establish there was no evasion. CBP would not expect any entity engaged in evasion to document it so blatantly.

4. Claims that the verification ignored evidence

Comments: The importers claim that CBP's verification report ignored evidence supporting PTNNI's explanations for why its electricity and natural gas consumption rates spiked in [month].²⁰⁰

PTNNI told CBP at verification that it installed a new piece of equipment called an "evaporative condenser" in [month] and that this explains the [month] spike in electricity consumption. PTNNI claimed that natural gas consumption increased because a supplier provided low quality natural gas starting in [month] or [month]. PTNNI tried to support its claims about the evaporative condenser by showing test results with different sized glycine crystals and tried to support its contention that gas consumption spiked by providing a letter to the gas company.

CBP's Position: CBP did not ignore these documents, but they do not support PTNNI's explanations for its spike in natural gas and electricity consumption in [month]. The letter to the gas company is dated [date] and states that "{i}n [month] our company {PTNNI} found that the quality of raw materials provided by your company was [description]."²⁰¹ Thus, this letter contradicts PTNNI's claims that it first observed low quality natural gas in [month] or [month] because the letter stated that PTNNI first observed it in [month].²⁰² The test PTNNI provided to support its explanation for increased electricity consumption in [month] does not mention any installation date or even the name of the equipment that supposedly led to increased electricity consumption.²⁰³

¹⁹⁴ See Written arguments at 27-28.

¹⁹⁵ See PTNNI RFI Response at Exhibit 3 and PTNNI Feb 14 Factual Info at Exhibits 7-18.

¹⁹⁶ *Id.* at Exhibit 10.

¹⁹⁷ *Id.* at Exhibit 15.

¹⁹⁸ *Id.* at Exhibit 11.

¹⁹⁹ See PTNNI 2nd Supp RFI at 2.

²⁰⁰ See Written arguments at 13.

²⁰¹ See Verification Exhibit 13 at page 5 of 23.

²⁰² See Verification Report at 13.

²⁰³ See Verification Report at 13.

Further, PTNNI provided installation records for other pieces of equipment,²⁰⁴ which demonstrates that PTNNI kept such records in the normal course of business. But PTNNI could not provide installation records for the evaporative condenser at verification. PTNNI's explanation is also inconsistent with its RFI responses because CBP asked PTNNI directly in the second supplemental RFI for a list of *all* equipment installed after October 1, 2020²⁰⁵ and PTNNI provided a list that did not include the evaporative condenser.²⁰⁶ PTNNI has also provided other documents proving that the evaporative condenser was exported from China in [month]²⁰⁷ and received by [month].²⁰⁸

In summary, CBP attempted to question PTNNI about why both its natural gas and electricity consumption per kg of glycine production spiked in [month], but PTNNI explained these spikes by claiming they were caused by events that happened months earlier. Further, PTNNI's explanations did not match the documents the company provided ostensibly as proof, and these documents contradicted other documents already on the record. This indicates that PTNNI made false statements to CBP during verification.

5. Other concerns

Comments: The importers assert that PTNNI has provided multiple types of evidence that they had an adequate workforce. They then claim that CBP is applying an "arbitrary and capricious 'third-party standard'" by noting in its verification report that PTNNI was unable to provide any bank statements or proof of payment to individual workers paid supposedly [description].²⁰⁹

CBP Response: CBP has not imposed any requirement that PTNNI or any party to this EAPA investigation must provide third-party documentation, but parties must be able to verify their claims. CBP requested some explanation and documentation because the various labor and payroll records PTNNI provided throughout the course of this investigation contained inconsistencies. CBP provided PTNNI an opportunity to explain these inconsistencies and provide documentation that would substantiate its claims because no records related to payroll, attendance, or workers' role in production match other records. Indeed, CBP actually noted as early as the NOI that we observed that production records show a worker performing a task when, according to attendance records, he was not working.²¹⁰

Instead of providing a consistent explanation, or internal PTNNI records (*i.e.*, bank statements) that would explain these discrepancies, PTNNI produced records at verification that included additional inconsistencies. Specifically, PTNNI claimed that it tracked workers' attendance by having them sign in every day to a WhatsApp Chat, so CBP asked them to provide one day of the chat so to confirm the presence of workers in PTNNI's list of employees. CBP could match the names of only [#] employees²¹¹ (out of [#] workers at that time)²¹² to the names on this chat.

²⁰⁴ See the installation records for equipment PTNNI placed on the record of this investigation at Exhibit 3 of PTNNI Response to Alleger's RFI Rebuttal, the CF-28 responses at Exhibit T, and PTNNI 2nd Supp RFI at Exhibit SQ2-IV-13.

²⁰⁵ See 2nd Supp RFI at 11.

²⁰⁶ See PTNNI 2nd Supp RFI Response at Exhibit SQ2-IV-13.

²⁰⁷ See PTNNI RFI Response at Exhibit 27 and CF-28 Responses at Exhibit T.

²⁰⁸ See PTNNI RFI Response at Exhibit 15.

²⁰⁹ See Written arguments at 14.

²¹⁰ See NOI at 8.

²¹¹ See Verification Report at 15 and Verification Exhibit 8.

²¹² See PTNNI RFI Response at Exhibit 28 and PTNNI 2nd RFI response at Exhibit SQ2-IV-6.

As an additional opportunity to substantiate its claims about labor, CBP reviewed sales traces. Through this review, CBP found another example of workers performing tasks after they were no longer present at the factory.²¹³ The verification team interviewed workers to attempt to validate PTNNI's claims, but none of them had worked at PTNNI for more than [#] months except for one supervisor. The workers also told CBP officials that they could perform only one production task and always did the same job, contrary to PTNNI's claims that each of its production workers can perform all tasks and have no specific job.²¹⁴ PTNNI therefore, made a false statement when CBP asked which tasks the workers perform, and PTNNI's responses do not substantiate its claims that it had workers able to do all production tasks throughout the POI. Even if PTNNI had employees present at its factory in every month of claimed production, CBP cannot verify that PTNNI had workers trained in each production step.

Due to these discrepancies, CBP sought bank statements or other documentation to verify that the manufacturer paid workers throughout the POI. PTNNI acknowledged that it has no record whatsoever showing payments to individual workers. PTNNI's only record that it had money to pay for anything (labor, raw materials, equipment, utilities) during the first [#] months of operation is a [document].²¹⁵ Further, the individual who recorded entries in the [document] did not actually witness most transactions recorded in it, but instead began maintaining the [document] [#] months after the first entries, based on the recollections of other employees.²¹⁶

Although the manufacturer provided proof of payment to a labor contracting company and invoices from this company, none of these records list the names of individual workers paid or the number of hours or man-hours of labor provided by the company per month. Further, PTNNI only provided this proof for a limited period of time, from [date] through [date], more than [#] months after the purported production start date.²¹⁷

Comments: The importers insist that “the production flow chart provided at various points throughout the record shows that the [process] of intermediate glycine in [input] is also when [input] is consumed. Thus, as CBP officials saw the [process] of intermediate glycine, they necessarily saw the consumption of [input].”²¹⁸

CBP position: This is not supported by the record since CBP officials were present at the factory to independently confirm that documents such as the production flow chart were true and accurate. The fact that production flow charts show [input] being added at the same time when intermediate glycine is [process] does not establish that CBP officials saw the same thing.

Contrary to the importers' mischaracterization of the record, the verification team did not witness consumption of [input]. CBP officials saw PTNNI employees pouring intermediate glycine into kettles that PTNNI officials said contained [input]. However, CBP did not observe any other chemicals (i.e., [input]) being added.²¹⁹

²¹³ See Verification Report at 16 and Verification Exhibit 7.

²¹⁴ See Verification Report at 15.

²¹⁵ *Id.* at 12.

²¹⁶ *Id.* at 11.

²¹⁷ See PTNNI 2nd Supp RFI Response at Exhibit SQ2-IV-7A and Exhibit SQ2-IV-7B.

²¹⁸ See Written arguments at 6-7.

²¹⁹ See Verification Report at 5.

Therefore, it is not supported by the record that CBP officials witnessed something which they did not.

Comments: The importers claim that CBP officials observed consumption of methanol simply because they observed workers in a methanol distillation tower control room.

CBP position: CBP officials did not witness methanol recycling but instead interviewed workers in what was supposed to be a control room for the methanol distillation tower. When CBP interviewed the workers in this room ostensibly controlling the methanol recycling process, CBP found that the workers had almost no knowledge of this process and that the room had no controls other than an on/off switch.²²⁰ This raises serious concerns about whether PTNNI even has operational methanol recycling facilities or staff who can operate this process. Even if the methanol distillation tower was operational, it is also possible that it was filtering methanol to improve quality. Indeed, PTNNI has told CBP officials that its suppliers provide low quality materials.

Even if the distillation tower was actually in use and was recycling methanol, recovering a used product through recycling is not the same as consuming that product. As such, an operational methanol distillation tower would indicate that PTNNI had the capacity to filter methanol but would not prove that any methanol was consumed.

In fact, CBP asked PTNNI repeatedly over three days for PTNNI to show methanol being used. PTNNI never agreed to this request.²²¹ While the importers provided a misleading and false statement that a methanol distillation tower is the same as methanol consumption, the issue remains that PTNNI refused at verification to show CBP an absolutely essential step in the production process.

Comments: The importers claim that CBP confused the methanol tank with the hydrochloric acid tank and that had PTNNI officials been questioned about the tanks, they would have pointed out the difference.²²²

CBP's position: CBP did not explicitly ask PTNNI employees about the different labels on the methanol tank. However, PTNNI employees showed the CBP verification team these tanks and saw the piece of paper that labeled the contents as methanol and the chemical safety data sheet calling the contents hydrochloric acid. Although these employees saw the same discrepancy CBP officials saw, PTNNI employees did not provide any explanation for why they were on the same tank. The verification report clearly shows that both pieces of paper were on the same tank.²²³

New Factual Information Rebuttal

Pursuant to 19 CFR § 165.23, CBP gave both the allegor and the importers until June 27, 2022 to submit information and arguments in response to CBP's June 15, 2022 memo.²²⁴ The importer placed on the record additional Indonesian trade statistics from the same public website where

²²⁰ *Id.* at 15.

²²¹ *Id.* at 5-6.

²²² See Written Arguments at 8-9.

²²³ See Verification Report at Attachment IV.

²²⁴ See CBP's email "RE: EAPA-00007647" dated June 17, 2022, at 5:34 PM.

CBP and PTNNI and the importers previously obtained public Indonesian trade data.²²⁵ The importers' rebuttal also included data on Chinese exports of HS 2922.49.19, a more specific HS code than the one available in the Indonesian import data. They show that China exported 2,388,000 kg of glycine to Indonesia in 2019; 2,097,000 kg in 2020; and 3,102,000 kg in 2021.²²⁶ Notably, these data show a larger percent increase in Chinese exports of Glycine to Indonesia than found in CBP's analysis of Indonesian import data.²²⁷

The allegor submitted its response to the new factual information on June 30, 2022.²²⁸ Geo submitted an affidavit from [name], a chemical engineer with experience producing glycine at [company]. This affidavit states that hexamine is "a critical raw material" that "has a pungent odor." It also states that "methanol is a material recycled continuously during the MCAA glycine production process" and that "it is impossible to recycle methanol periodically in batches."²²⁹ This affidavit further states that "{t}he use of anti-caking agents does not increase the yield of finished glycine and creates significant impurities in the finished glycine that may result in the failure to meet customer specifications."²³⁰

Comments: The importers and PTNNI assert that the HS category used in the analysis is a broad basket HS category containing products other than glycine and that the increase in Indonesian imports of this category from China is only circumstantial evidence. They also argued that "there are imports which saw far greater surges than those from China"²³¹ and support this claim with analysis of this trade data.²³² The importers and PTNNI also claim that their Chinese export data "show that the potential absolute volumes of glycine are much lower than CBP's data Indicates."²³³

CBP's position: These parties specifically cite large *percentage* increases in Indonesian imports from Slovenia, Portugal, and the Netherlands from 2020 to 2021, but this obfuscates the fact that the volume of Indonesian imports from these countries was marginal, while China was Indonesia's largest single supplier. In 2021, the total volume of Indonesian imports of the HS category containing glycine was less than 800,000 kg from all three European countries combined.²³⁴ By comparison, Indonesian imports of this HS category from China totaled over 6,204,000 kg in that year. Further, the importers and PTNNI are also obfuscating the fact that while Indonesian imports from most other countries in the data PTNNI provided entered Indonesia from many different ports²³⁵, Indonesian imports from China entered overwhelmingly through Jakarta,²³⁶ the same ports [description of geography].²³⁷

²²⁵ See PTNNI and the importers' letter "RE: EAPA Consol. Case No. 7663 – Rebuttal Information & Argument to CBP's June 15, 2022, Information" ("PTNNI /Importers' NFI Rebuttal").

²²⁶ See PTNNI /Importers' NFI Rebuttal at Exhibit 2.

²²⁷ See June 15 PD Memo at Attachment 4.

²²⁸ See Geo submitted its new factual information on June 27, 2022, and *see also* Geo's Letter "Re: EAPA Case No. 7647: Factual Information in Rebuttal to CBP's June 15, 2022, Memorandum," dated June 27, 2022("Geo NFI Rebuttal"), but CBP rejected Geo's submission on June 28, 2022. CBP gave the allegor until June 30, 2022, to resubmit its response. See CBP's email "EAPA-00007647" dated June 28, 2022, at 2:32 PM.

²²⁹ See Geo NFI Rebuttal at Exhibit 1.

²³⁰ *Id.* at Exhibit 1.

²³¹ See PTNNI/Importers' NFI Rebuttal at 2.

²³² *Id.* at Exhibit 1.

²³³ *Id.* at 3.

²³⁴ *Id.* at Exhibit 1.

²³⁵ *Id.* at Exhibit 1.

²³⁶ See June 15 PD Memo at Attachment 4.

²³⁷ See Oct. 19 Memo at Attachment 5 and Attachment 8, and *see also* PTNNI RFI response at Attachments 17-19, and CF-28 Responses at Exhibit K.

Further, the Chinese export data demonstrates an increase of almost 50 percent in Chinese exports from 2020 to 2021 (from 2,097,000kg to 3,102,000 kg). The 3,102,000 kg that China exported to Indonesia in 2021 is also a greater volume than the [#] kg that PTNNI sent to the U.S. during the POI. Total Chinese exports of glycine to Indonesian in 2021 and 2022 were 5,199,000 kg according to the importers' and PTNNI's data, almost [#] times the volume PTNNI supplied to the importers.²³⁸

Comments: PTNNI and the importers assert that “{t}he MCA method of glycine manufacturing as included by CBP at Attachment 5 of its public document is a well-known method of glycine production.” PTNNI also claims that “CBP’s inclusion of Attachment 6 and Attachment 7 in its June 15 memo constitute “yet another misguided attempt to discredit PTNNI on the basis of half-truths and speculation without any grounding in the law or regulations.”²³⁹

CBP’s Position: This information was simply factual information about the chemicals used in the MCA production process and CBP’s June 15 memo made no assertion via the attachments to discredit PTNNI. Since CBP placed the entirety of these public documents on the record, it is also inaccurate to assert that these attachments are “half-truths”²⁴⁰ as the importers and PTNNI contend.

Analysis as to Evasion

Under 19 USC § 1517(c)(1)(A), to reach a determination as to evasion, CBP must “make a determination, based on substantial evidence, with respect to whether such covered merchandise entered into the customs territory of the United States through evasion.”²⁴¹ Evasion is defined as “the entry of covered merchandise into the customs territory of the United States for consumption by means of any document or electronically transmitted data or information, written or oral statement, or act that is material and false, or any omission that is material, and that results in any cash deposit or other security or any amount of applicable antidumping or countervailing duties being reduced or not being applied with respect to the merchandise.”²⁴² In this investigation, covered merchandise “includes glycine of all purity levels, which covers all forms of crude or technical glycine including, but not limited to, sodium glycinate, glycine slurry and any other forms of amino acetic acid or glycine. Subject merchandise also includes glycine and precursors of dried crystalline glycine that are processed in a third country, including, but not limited to, refining or any other processing that would not otherwise remove the merchandise from the scope of these orders if performed in the country of manufacture of the in-scope glycine or precursors of dried crystalline glycine.”²⁴³ As discussed below, substantial evidence indicates that the importers entered covered merchandise entered into the customs territory of the United States through evasion.

After reviewing the record, CBP has determined that the importers evaded the orders by transshipping Chinese glycine through Indonesia because there is substantial evidence that demonstrates the purported Indonesian manufacturer could not have produced the volume of

²³⁸ See Verification Report at 6.

²³⁹ See PTNNI/Importers’ RFI Rebuttal at 5.

²⁴⁰ *Id.* at 5.

²⁴¹ See 19 USC § 1517(c)(1)(A) See also 19 CFR. § 165.27(a) (implementing 19 U.S.C. § 1517).

²⁴² See 19 CFR § 165.1; see also 19 USC § 1517(a)(5)(A).

²⁴³ See CVD order; see also AD order.

glycine it supplied the importers. PTNNI could not have produced the volume of intermediate glycine needed to make the USP grade glycine sold to the importers because PTNNI did not purchase an adequate volume of methanol. Even if PTNNI had produced a sufficient quantity of intermediate glycine at its factory in Indonesia, it still did not consume enough [] to produce the volume of finished glycine sold. Further, substantial evidence on the record shows that not all the equipment in PTNNI's factory was installed on production start date, the manufacturer did not have an adequate workforce, and they have mislabeled their glycine.

Equipment not Fully Installed and Factory not Constructed on Production Start Date

PTNNI claims that its facility was fully constructed, with all equipment fully installed on October 1, 2020, even though the allegation included photos of construction still ongoing in [].²⁴⁴ CBP also found photos from KNIC's website showing construction equipment still present at the factory in November 2020, which supports the information in the allegation. PTNNI has never explained why construction equipment was still present at its factory in November 2020²⁴⁵, at least one month after construction was supposedly completed, or why there were construction workers working in []. Therefore, the record indicates that PTNNI did not have a fully constructed factory on October 1, 2020, as it has claimed.

Further, PTNNI has admitted that it was not finished installing equipment in the factory on the production start date. The manufacturer installed [] pieces of equipment from [] until as recently as []. PTNNI has indicated that it had a total of [] pieces of equipment, so a substantial percentage was not installed on production start date. Further, the manufacturer has admitted that it was still installing equipment [] after production started.²⁴⁶ In addition to the list of [] pieces of equipment installed after October 2020, PTNNI also subsequently claimed at verification that it installed another piece of equipment in [], [] months after the production start date.²⁴⁷

Insufficient Purchases of Raw Materials

During the entire POI, PTNNI only purchased [] kg of methanol²⁴⁸ but according to Exhibit J of the CF-28 responses, PTNNI consumed [] kg of methanol per kg of intermediate glycine produced.²⁴⁹ When multiplied times the [] kg of intermediate glycine PTNNI claims to have produced during the POI, the manufacturer needed [] kg of methanol ($[] * [] = []$). This leaves a shortage of [] kg of methanol.²⁵⁰

Record information also indicates PTNNI did not recycle enough methanol to compensate for the shortfall of purchased methanol because "methanol is a material recycled continuously during the MCAA glycine production process" and that "it is impossible to recycle methanol periodically in batches: If methanol recycling is stopped during glycine production, it would be out of balance within three hours."²⁵¹ Since PTNNI frequently stopped production during the POI, methanol

²⁴⁴ See the allegations at Exhibit 1.

²⁴⁵ See Oct. 19 Memo at Attachment 3 "Construction Progress of PTNNI's Factory Through December 2020".

²⁴⁶ See PTNNI 2nd Supp RFI at Exhibit SQ2-IV-13.

²⁴⁷ See Verification report at 13.

²⁴⁸ *Id.* at 16.

²⁴⁹ See CF-28 Responses at Exhibit J.

²⁵⁰ See Verification Report at 16.

²⁵¹ See Geo NFI Rebuttal at Exhibit 1.

recycling at the facility would have been limited.²⁵² CBP also observed at verification that the workers in PTNNI's methanol distillation tower control room did not know much about methanol recycling and did not have any controls for the tower except for an on/off switch, all indications that PTNNI could not really recycle methanol.²⁵³ Further, PTNNI's production records only tie production batches to newly purchased methanol without any mention of recycled methanol,²⁵⁴ while a comparable factory uses both new methanol and recycled methanol for every batch of intermediated glycine.²⁵⁵

Notably, CBP has determined that this shortage exists based on a consumption rate reported by PTNNI and the importers themselves in their CF-28 responses, and this was a conservative estimate. A comparable factory in India consumed at least [#] kg of methanol per kg of intermediate glycine produced, more than [#] PTNNI's CF-28 consumption rate. PTNNI has not provided any evidence on the record to explain why its methanol consumption rate would be so much lower than another factory using the same production process. Instead, PTNNI stated that it is a new producer, [#] of PTNNI's production workers had [description] before they were hired,²⁵⁶ and the manufacturer has claimed its raw materials are of poor quality.²⁵⁷ Further, CBP officials observed equipment in poor condition at verification.²⁵⁸ It is therefore likely that PTNNI's actual rate of consumption would be higher than the consumption rate of an established producer in India using the same production process. Actual production batches reviewed by CBP show [#] kg of methanol consumed per kg of intermediate glycine production, which supports this conclusion.²⁵⁹ CBP's estimated methanol shortage based on the CF-28 responses therefore gives PTNNI considerable benefit of the doubt.

Further, CBP has noted many examples where information supporting PTNNI's purchases and consumption of methanol are missing or unreliable. PTNNI has reported different methanol consumption rates at different stages in this investigation (in the CF-28 responses it was [#], the supplemental RFI response states that it varied from [#] to [#], while actual production records show that consumption was greater than [#] kg). Also, PTNNI refused to show CBP any use of methanol during verification and CBP officials observed that PTNNI's methanol storage

²⁵² There are many examples of production stoppages at PTNNI during the POI. See PTNNI RFI at Exhibit SQ-V-4. This exhibit shows that PTNNI only produced [#] kg of intermediate glycine in [month] and [description] in [month]. PTNNI Supp RFI at Exhibit SQ-V-23 shows that PTNNI did not produce any intermediate glycine in [month] and produced only [#] kg in [month]. PTNNI 2nd Supp RFI at SQ2-IV-20D shows no Indonesian production workers present on [dates]. PTNNI 2nd Supp RFI at Exhibit SQ2-IV-20F shows only [#] employees present on [date]. At Verification, PTNNI company officials told CBP that the manufacturer had [description] from [date] until the production witnessed at verification, see Verification Report at 5. PTNNI also told CBP that it uses a "semi-batch" process that allows them to frequently shut down intermediate glycine production and store it for later use in refined glycine production, See PTNNI Response to Alleger's RFI Rebuttal at 8 and Exhibit 5.

²⁵³ See Verification Report at 15.

²⁵⁴ See CF-28 Responses at Exhibit K; PTNNI RFI Response at Exhibit 23A and Exhibit 23B; and PTNNI 2nd Supp RFI Response at Exhibits SQ2-IV-16A, SQ2-IV-B, SQ2-IV-16C, SQ2-IV-16D, and SQ2-IV-16E.

²⁵⁵ See Geo first RFI Rebuttal at Exhibit 5, page. 17 of 58.

²⁵⁶ See PTNNI 2nd Supp RFI Response at 29.

²⁵⁷ See Verification Report at 12. Specifically, when CBP asked why PTNNI had unpaid invoices for [input], [input], [input], [input], and [input], PTNNI officials told CBP that these invoices were unpaid because of low quality.

²⁵⁸ See Verification report at 9, Attachment III, and Attachment VI.

²⁵⁹ See Verification Report at 16.

tank likely contained hydrochloric acid instead of methanol. CBP also noted that [#] of the invoices for methanol purchases reviewed at verification were unpaid.²⁶⁰

It is also very significant that all these problems -inadequate purchases, inconsistent reported consumption rates, unpaid invoices, refusal to show CBP any methanol consumption, and markings on the methanol storage tank indicating that there was no methanol present at verification- apply to the same raw material. While PTNNI might be able to explain away some of these shortcomings, the evidence on the record does not support a conclusion that it has purchased or consumed a sufficient quantity of methanol to produce the volume of glycine it claims. It is also notable that the Newtrend Group has a history of reporting inconsistent consumption rates. Commerce noted in its IDM that “{w}While Newtrend Thailand was given ample opportunity {...} to provide accurate and transparent consumption rates associated with each stage of the glycine production process, it has failed to provide all such information in a complete, accurate, and timely manner.”²⁶¹

PTNNI also did not purchase enough [input] to produce the volume of finished glycine it sold to the importers during the POI. Based on the consumption rate calculated by CBP, PTNNI needed to consume [#] kg of [input]. Instead, the manufacturer only purchased [#] kg, leaving a shortage of [#] kg.²⁶² It is also notable that PTNNI never paid [#] the invoices for [input] that CBP reviewed.²⁶³ Notably however, CBP found a shortage in the consumption rate for methanol and [input] even *after* accepting PTNNI’s assertion that all these purchases actually occurred, thus giving PTNNI the benefit of the doubt.

Insufficient Supply of Labor

CBP has found repeated examples where attendance records do not match other records. Workers are listed on production records performing tasks when, according to attendance records, they were not there. Also, CBP officials could only match the names of [#] workers on the WhatsApp chat to names of workers in lists of employees. PTNNI’s attendance records do not match monthly wage calculations,²⁶⁴ payroll records, production records, or the WhatsApp chat workers used to record their presence at the factory and are thus, likely false.

PTNNI provided no bank records that it paid workers from [date] to [date]. Furthermore, the individual recording transactions in the cash journal, had no first-hand knowledge of most of these transactions and recorded entries based on the recollections of other employees.²⁶⁵ This means that PTNNI’s cash journal from [date] until [date] is a second-hand set of memories rather than a record of any kind. Therefore, this document cannot be considered a reliable source of information to substantiate production.

PTNNI’s own statements show that they did not have an adequately trained workforce on their production start date. PTNNI stated in its first RFI response that “*most of the training is on-the-job training at Newtrend Indonesia by Thai employees that used to work at Newtrend Thailand*

²⁶⁰ See Verification Report at 13.

²⁶¹ *Id.* at Exhibit 21, p. 17.

²⁶² See Verification Report at 17.

²⁶³ See Verification Report at 13.

²⁶⁴ *Id.* at Exhibit SQ-V-13a.

²⁶⁵ See Verification Report at 11.

{emphasis added}.”²⁶⁶ PTNNI’s supplemental RFI response indicated that the Thai workers did not arrive in Indonesia until [date],²⁶⁷ [#] weeks after production start date.²⁶⁸ Furthermore, PTNNI said in its supplemental RFI response that it takes [number] of months to train new workers,²⁶⁹ even though it began producing large batches of glycine on the same day it started operating. PTNNI also told CBP that [number] of its workers had previous experience in the chemicals industry²⁷⁰ and only [number] of the supervisors tasked with training [number] Indonesians could speak their language above a [description] level.²⁷¹ PTNNI has also insisted that its workers are not trained and assigned to only one task,²⁷² and was not responsive when asked which pieces of equipment each worker was trained to use. However, workers told CBP officials that they can only perform one task each and always perform the same task.²⁷³ Therefore, even if PTNNI had workers present on all days when it claims glycine was produced, it is still likely that there were not workers capable of doing each production step.

Further, PTNNI failed to show CBP officials that it had an adequately trained workforce at verification, more than 19 months after production start date. CBP officials observed that PTNNI employees in the methanol control tower knew almost nothing about how a methanol distillation tower operates and had very little training.²⁷⁴ CBP also observed other workers mishandling MCA and the workers had no familiarity with even the most basic safety procedures.²⁷⁵

Mislabeled Packaging

At verification, CBP officials also witnessed packages of glycine for shipment clearly labeled with a claimed date of manufacture of [date],²⁷⁶ even though company officials told CBP that PTNNI had stopped production on [date].²⁷⁷ Thus, the record of this investigation contains proof that PTNNI engages in mislabeling of its merchandise.

CBP has found that the documents submitted by PTNNI, and the importers contain numerous inconsistencies that indicate that production records PTNNI has submitted were likely fabricated and that PTNNI likely had little or no production of glycine. PTNNI purchased insufficient raw materials, had a factory with equipment not yet fully installed on production start date, cannot prove that it had enough adequately trained workers (and cannot prove that from October 2020 to April 2021 it paid any workers at all), and has been caught mislabeling its packaging.²⁷⁸

The following facts indicate that the glycine PTNNI sold the importers was Chinese-origin and therefore covered by the orders:

- (1) All the glycine purchased by the importers was made by the Newtrend Group. Several facts support this:

²⁶⁶ See PTNNI RFI Response at 35.

²⁶⁷ See PTNNI Supp RFI Response at Exhibit SQ-V-15.

²⁶⁸ *Id.* at 26 and Exhibit 23b.

²⁶⁹ *Id.* at 26.

²⁷⁰ See PTNNI 2nd Supp RFI at 29.

²⁷¹ *Id.* at 25 and 26.

²⁷² *Id.* at 24.

²⁷³ See Verification report at 15.

²⁷⁴ See Verification Report at 15.

²⁷⁵ *Id.* at 6.

²⁷⁶ See Verification Report at Attachment VI.

²⁷⁷ *Id.* at 14.

²⁷⁸ *Id.* at 5.

- a. Newtrend USA helped Nutrawave and Starille find [description] their customers.²⁷⁹
 - b. Newtrend Group President [name] and Group affiliates facilitated Starille and Nutrawave's importation of glycine by lending Nutrawave \$[number] while [company] lent Nutrawave \$[number].²⁸⁰ Starille also received a loan of \$[number] from [name] with [description of loan terms] for repayment, no written loan agreement, and [description of loan terms]. [name] clearly understood that this would allow Starille to purchase glycine from PTNNI.²⁸¹
 - c. All the importers' glycine that declared Indonesia as the country of origin must have come from the Newtrend Group because there is no large-scale supplier of glycine in Indonesia other than PTNNI.²⁸²
 - d. [description] glycine imports by the importers were packaged and/or shipped by [company].²⁸³
- It is unlikely that, the Newtrend Group would provide loans, [activities], and find customers for a competitor's glycine. Further, Newtrend USA is a wholly owned subsidiary of the Group and would likely not source glycine from a competitor.
- (2) The only Newtrend Group affiliates that could have produced the glycine transshipped through Indonesia by PTNNI are Chinese because:
 - a. Newtrend Thailand stopped producing glycine in [month].²⁸⁴
 - b. Public trade data shows that Indonesia had no imports of glycine from Thailand during the POI.²⁸⁵
 - c. Chinese Newtrend Group affiliates continued to produce glycine during the POI.²⁸⁶
 - d. Sales reconciliations show that Newtrend Thailand did not sell any glycine to Indonesia.²⁸⁷
 - (3) Trade data and sales reconciliations show exports of glycine from Chinese Newtrend Group affiliates to Indonesia:
 - a. There is evidence that Chinese glycine entered Indonesia in increasing quantities in 2021 compared to 2020, through the ports closest to PTNNI's facility, the [location information];²⁸⁸
 - b. Chinese affiliates of the Group sold glycine to [country] during the POI, according to sales reconciliations.²⁸⁹
 - (4) [individual] attempted to sell [product description] to the allegor's market researcher when the market researcher sought Indonesian-made glycine. The market research report stated that a [individual] told the researcher that the manufacturer had no [product description] but "could provide [product description]."²⁹⁰

²⁷⁹ See Nutrawave RFI Response at 10.

²⁸⁰ See Nutrawave Supplemental RFI Response at 6.

²⁸¹ See Starille Supp RFI at 3 and Exhibit SQ-3.

²⁸² See the allegations at 5.

²⁸³ See CF-28 Responses at Exhibits C and K; PTNNI RFI Responses at Exhibits 17, 18, 19, 35A, and 35B.

²⁸⁴ See PTNNI 2nd Supp RFI Response at 1.

²⁸⁵ See PTNNI Feb 14 Factual Info at Exhibit 17 and Exhibit 18.

²⁸⁶ *Id.* at Exhibits 7-16.

²⁸⁷ See PTNNI 2nd Supp RFI Response at Exhibit SQ2-I-1 and PTNNI Feb 14 Factual Info at Exhibits 17 and 18.

²⁸⁸ See June 15 PD memo at Attachments 1-4.

²⁸⁹ *Id.* at Exhibit 11.

²⁹⁰ See the allegations at Exhibit 1, page 39.

Determination as to Evasion

In conclusion, the totality of the evidence described above that China was the true country of origin and that PTNNI could not have produced all the glycine sold to the importers indicates that the importers purchased glycine from PTNNI that was covered by the orders. Because the importers did not declare that the merchandise was subject to the orders on entry, the requisite cash deposits were not collected on the covered merchandise. Therefore, CBP determines that substantial evidence exists that the importers and PTNNI misrepresented the country of origin of the glycine imported into the U.S. by claiming Indonesia rather than China as the country of origin, and thus evaded AD order A-570-836 and CVD order C-570-081.

Actions Taken Pursuant to the Affirmative Determination as to Evasion

In light of CBP's determination that substantial evidence demonstrates that the importers entered covered merchandise into the customs territory of the United States through evasion, CBP will take action, as applicable, pursuant to 19 USC 1517(d)(1)(D)-(E) and 19 CFR 165.28(a). Specifically, pursuant to 19 USC 1517(d)(1)(E)(iii), CBP will require that for any imports of glycine from PTNNI, the importers deposit estimated duties at the time of entry. CBP will also evaluate the importers' continuous bond in accordance with CBP's policies and will require single transaction bonds as appropriate. None of the above actions preclude CBP or other agencies from pursuing additional enforcement actions or penalties.

Sincerely,

A handwritten signature in black ink, appearing to read "Brian Hoxie", is positioned above the typed name.

Brian Hoxie Director, Enforcement Operations Division
Trade Remedy Law Enforcement Directorate
CBP Office of Trade